



TECHNICAL UNIVERSITY OF KENYA
Education and Training for the Real World

**2026 FEB – MAY EACQ 3214 & 3114 : CONSTRUCTION LAW
“B” DAY & EVENING**

YR 3.2 QUANTITY SURVEY/CONSTRUCTION MANAGEMENT

EACQ 3214 & 3114 : CONSTRUCTION LAW CLASS LECTURE

LECTURER: ERUPE LOWOTON

LECTURE I: THURSDAY & SATURDAYS (VIRTUAL)

I. TOPIC I: INTRODUCTORY SESSION AND COURSE OVERVIEW

**Read Through Course Syllabus/Schedule; Instruction of CATS,
Assignments and Final Exam.**

II. LECTURE II : THURSDAY & SATURDAYS (VIRTUAL)

**TOPIC II : INTRODUCTION TO THE LAW OF BUSINESS
ASSOCIATIONS**

A. INTRODUCTION

1. The validity of any business transaction depends on the status of the parties and on their capacity to create a contractual relationship.

2. The contractual relationship of the parties flows on their existence as persons; natural or legal. In this regard, parties can only enter into contractual relationships where they have the capacity to do so.

3. The capacity of acting flows from the legal personality of the parties. Legal personality is the legal word the law uses to categories of different persons recognized by the law.

4. A person in this context is somebody or anything which the law recognizes as having some legal rights and obligations flow from the legal status of an individual or entity in whose favor or against whom they are sought to be enforced.

5. The law recognizes two legal persons, namely, the natural person and the legal person or artificial person. This recognition means that these persons have rights which they may seek to enforce in law, and obligations which may be enforced against them.

B. NATURAL PERSONS

1. Natural persons include human beings, who naturally, have legal personality under the laws because they carry some legal obligations and rights which can be enforced by the law.

2. However, the enforcement of the rights and obligations depends on the status of the person in question. In this regard, status denotes a person's capacities and incapacities in relation to rights and liabilities in law. This depends on the nationality, domicile and residence of the person as explained below:

1. Nationality

(a) Nationality may also be referred to as citizenship. It denotes a person's allegiance to some state, in return of which he expects protection against other states. It describes the relationship a person has with the state to which that person is a citizen.

(b) Nationality is therefore a matter of status and affects a person's relation with the outside world.

(c) Again, the status of a national or a citizen entitles that person to some rights and freedoms which may not be available to a non-national.

(d) **Article 12 of the Constitution (2010)** of Kenya provides, for instance, that every citizen is entitled to: (a) *The rights, privileges and benefits of citizenship, subject to the limits provided or permitted by this Constitution; and (b) a Kenyan passport and any document of registration or identification issued by the State to Citizens.*

(e) The status of a citizen is not permanent. It can therefore be acquire or lost. The citizenship of Kenya may be acquired by birth or registration (*Article 13(2)*).

a) Citizenship by Birth

This occurs when a person is born in Kenya. Article 14 of the 2010 Constitution contemplates a number of scenarios.

(a) *First*, a person is a citizen by birth if on the day of the person's birth, whether or not the person is born in Kenya, either the mother or father of the person is a citizen.

(b) *Second*, if a child is found in Kenya who is or appears to be, less than eight years of age, and whose nationality and parents are not known, that child is presumed to be a citizen by birth.

(c) *Third*, a person who is a Kenyan by birth but who has ceased to be a Kenyan citizen because he acquired the citizenship of another country is entitled on application to regain his Kenyan citizenship by birth.

(d) This provision in a way recognizes the dual citizenship as contemplated in *Article 16 of the Constitution*.

b) Citizenship by Registration

Article 15 of the Constitution provides an avenue through which a person who is not a Kenyan citizen may acquire citizenship by registration. A number of scenarios are contemplated by this article.

(a) *First*, a person who has been married to a Kenyan citizen for a period of at least seven years is entitled on application to be registered as a citizen.

(b) *Second*, a person who has been lawfully resident in Kenya for a continuous period of at least seven years, and who satisfies the conditions prescribed by an Act of Parliament, may apply to be registered as a citizen.

(c) *Third*, a child who is not a citizen, but is adopted by a citizen, is entitled on application to be registered as a citizen.

(d) A citizen by birth does not lose his or her citizenship by acquiring the citizenship of another country (*Article 14*).

(e) Under *Article 17(1)* if a person has acquired citizenship by registration, the citizenship may be revoked under the following circumstances:

- (1) If the person acquired the citizenship by fraud, false representation or concealment of material fact;

- (2) If the person has within five years of registration been convicted of an offence and sentenced to imprisonment for a term of three years or more;
- (3) If the person during a period of war has corroborated with an enemy country in such a manner as to assist an enemy in that way;
- (4) If the person has, at any time after registration, been convicted of treason for which a penalty of at least seven years' imprisonment may be imposed; or a more severe penalty may be imposed.

2. Domicile

- A) person's domicile is the country in which he has an intention of making his permanent home.
- B) Domicile is quite distinct from nationality to the extent that it is a legal concept which connects each person with a particular state having its own legal system.
- C) Everyone must have a domicile and no person can have more than one domicile.
- D) Again, no person may be said to lack a domicile.
- E) The importance of domicile is that it decides which country's law should govern a person's status or his family relations.

F) Domicile may be established under the following circumstances.

a) Domicile of Origin

(i) As soon as a person is born, he acquires domicile of origin.

(ii) A legitimate child or a child born posthumously after his father's death acquires his father's domicile.

(iii) An illegitimate child acquires his mother's domicile (*section 3 of the Law of Domicile Act, Cap 37, Laws of Kenya*).

(iv) A foundling acquires the domicile of the place where he is found (*Section 4 of Cap 37*).

b) Domicile of Dependence

(i) The domicile of a minor dependent on his father is called domicile of dependence. This domicile changes as the father changes his domicile.

(ii) Again, the domicile of dependence of an illegitimate child or of a child who is born after his father's death changes with the change in the domicile of the mother.

(iii) Further, an adopted child acquires the domicile of the adopter or where he is adopted by a husband and a wife, the domicile of the husband (*section 6 of Cap 37*).

(iv) A married woman takes the domicile of her husband immediately after her marriage, while the marriage lasts (*Section 7 of Cap 37*).

c) Domicile of Choice

When a person of full age changes his domicile of origin and establishes his home in another country with the intention of remaining there permanently, he is said to have acquired the domicile.

3. Residence

A) This is the act of living in a certain place for some time.

B) It denotes a place where an individual actually lives as distinguished from a place where an individual wants to make their permanent home.

C) As regards corporations, residence denotes a place where they are registered to conduct business.

D) Consequently, it is possible for a person to have more than one residence although he must have one main residence against which his personal legal connection such as payment of taxes, service of summons, tax reliefs and deductions may be established.

E) Where the courts are faced with matters of determination of a person's main residence, they base on factual evidence.

C. LEGAL PERSONALITY

1. To facilitate economic growth, the law accords the legal rights of natural persons to some certain offices and groups of persons known as corporations.
2. In legal terms, a corporation is an entity (usually a business) having authority under law to act as a single person distinct from the shareholders who own it and having rights to issue stock and exist indefinitely.
3. It may also refer to a group or succession of persons established in accordance with legal rules into a legal or juristic person that has legal personality distinct from natural persons who make it up, exist indefinitely apart from them, and has the legal powers [rights] that its Constitution gives it.
4. The features of artificial personality include existing as a separate legal entity from its owners, the right to acquire, own and dispose property, the existence of perpetual succession, the right to sue and be sued in its name and the quality of limited liability. The best example of a juristic person is a limited liability company.

a) A Corporate Sole

(i) This is an office created by a statute or common law in order to accord perpetual succession to the office or institution in question.

(ii) Such offices can only be held by one person at a time.

(iii) If the person ceases to occupy the office, either by death or retirement, he is succeeded by another person who will then discharge the duties and exercise the powers of the office.

(iv) Examples of corporate sole offices include the Presidency, the Pope, Bishops and Kings.

b) Corporation Aggregate

(i) A corporate aggregate has many members unlike a corporate sole which has only one member (*Act no 12 of 1997*).

(ii) Corporation aggregate are used as investment vehicles where a group of people pull their resources together in order to invest.

(iii) Examples of corporate aggregate are Limited Companies registered under the Companies Act (*Cap 486, Laws of Kenya*), and Co-operative Societies registered under the Co-operative Societies Act.

(iv) Corporate aggregate can be created in three ways as follows:

(1) By a Charter

The power to create Chartered Corporations is reserved in the Crown under common law. In democracies, such power vests in the President by virtue of a statute. Chartered Corporations are created mostly for educational or charitable purposes. Examples of such corporations are the Association of Chartered Certified Accountants (ACCA) and Universities.

(2) By Statute

These are corporations created by an Act of Parliament for public purpose. The Act defines the power, duties and the scope of the corporation. Examples are the Kenya Broadcasting Corporation (KBC) and Agricultural Finance Corporation among others.

(3) By Registration

(a) This is the most popular method for creating corporate persons. Such corporations are registered under the Companies Act (*Cap 486, Laws of Kenya*).

(b) Under the Act, any one person in case of a private company and any seven people, in case of a public company, may form a company by depositing the following documents with the Registrar – the Memorandum of Association and the Articles of Association together with the accompanying documents.

(c) When all the necessary documents have been deposited and registration fee is paid, the registrar issues the newly formed corporation with a certificate of incorporation which effectively brings the company into existence.

D. LIMITED LIABILITY COMPANIES

(a) A company is an association of persons who have come together to carry out business in such a manner as to have a distinction between the company and its owners.

(b) However, a company is defined by the Companies Act (*Cap 486 Laws of Kenya*) as company formed and registered under this Act or an existing company (*section 2 of the Act*).

(c) In practice, however, a company is an artificial legal person created by complying with the provisions of the Companies Act.

(d) The process through which a company is created is called incorporation and it is regulated under Part II of the Companies Act.

(e) The process involves the lodgment of the memorandum and articles of association of the company with the Registrar of Companies.

(f) The Memorandum of Association is the founding document of a company. It prescribes the relationship of the company and third parties.

(g) Pursuant to section 5 of the Act, the Memorandum of the company should be in the English language, printed and should provide for the following:

1. The name of the company with “limited” as the last word of the name;
2. The registered office of the company is to be situated in Kenya;
3. The objects for which the company is formed. The object clause defines the scope of the company. It is noteworthy, however, that acting *ultra vires* is not illegal. It is only void in terms of enforcement;
4. That the liability of its members is limited;
5. The share capital of the company and how the same is divided up.

(h) The Articles of Association, on the other hand, is a subsidiary document that prescribes the internal management of the company. It contains details of the rights and obligations of members, the procedures for conducting meetings among others. Both the Memorandum of Association and the Articles of Association constitute the Constitution of the company. These documents must be accompanied by five other documents, namely:

- 1) Statement of Nominal Capital;
- 2) Statutory Declaration of Compliance;
- 3) Statement of Particulars of the Directors and Secretaries;
- 4) The Notice of Situation of Registered Office;

5) Application for reservation or the notice of cessation of business and Certificate of Registration.

(i) Companies may be categorized as either Public Limited Companies (PLC) or Private Limited Companies (PLC).

(j) The differences between these two companies are provided in section 4(1) and section 30(1) of the Companies Act.

(k) Pursuant to section 4(1), any *“seven or more persons, or, where the company to be formed will be a private company, any two or more persons, associated for any lawful purpose may, by subscribing their names to a memorandum of association and otherwise complying with the requirements of this Act in respect of registration, form an incorporated company, with or without limited liability.”*

(l) Thus, a public company is formed by a minimum of seven members while a private company is formed by a minimum of two members. One person is now accepted as per the 2015 Companies Act.

(m) Further, when section 30(1) of the Companies Act, is read together with section 4(1) of the Act, a Private Limited Company (PLC) is that which:

1. Has a minimum of one member (use to be two members; 2015 amendments changed it);

2. Restricts the right to transfer its shares;
3. Limits the number of its members to fifty, not including persons who are in the employment of the company and persons who, having been formerly in the employment of the company, were while in that employment, and have continued after the determination of that employment to be, members of the company;
4. Prohibits any invitation to the public to subscribe for any shares or debentures of the company;
5. Other characteristics of a private limited company include the following:
 - a) Has at least one director;
 - b) Entitled to commence business from the date of incorporation;
 - c) Not obliged to hold the statutory meeting;
 - d) Not obliged to publish accounts.

(n) The concept of limited liability means that once company has been incorporated, the liabilities of its members are limited. In this regard, since a company is a separate personality from its members, then the members cannot be held liable for the omissions and commissions of the company.

(o) Pursuant to section 4(2) of the Act, the liability may be limited by shares or by guarantee.

(p) Companies limited by guarantee are those which the members guarantee to pay a certain amount in the event that the company fails to pay its debts.

(q) These companies are designed for charitable or public interest ventures where no profits are expected and no dividends are to be payable.

(r) On the other hand, companies limited by shares are those in which the liability of the shareholders for the debts of the company is limited to the amount unpaid on their shares.

(s) Characteristics which distinguish limited liability companies from other unincorporated associations are as follows:

1. Legal Personality

Once a company is incorporated, it is regarded in law as having its own legal personality because it is created by law. The company is therefore capable of enjoying rights and being subjected to obligations just like a natural person.

2. Limited Liability

Limited liability means, the debts of the corporation are its and a member or manager of the corporation cannot be sued in order to recover the debts. If a corporation such as a registered company is unable to pay its debts it may be wound-up and during the winding –up its members will not be asked to

‘contribute’ what is required to pay the debts but a member cannot be asked to pay more than the amount, if any, that is unpaid on the shares held by him (or the amount he guaranteed if it is a company limited by guarantee).

3. Perpetual Succession

The death of a member or members of the corporation does not result in the death of the corporation. Members come and go and are merely succeeded by other persons who become new members. The corporation ‘dies’ only when its legal life is brought to an end by a legal process known as liquidation.

4. Ability to Acquire and Own Property

The property of a body corporate such as a registered company does not belong to its members but the corporate body itself. Consequently, a member has no legal interest in such property and cannot even insure it.

5. Ability to sue and be sued

On incorporation, a company can sue or be sued in its own name. This is so because of the doctrine of separate legal entity between a corporation and its members. It therefore follows that a wrong to, or by, the corporation is not a wrong to, or by, its members.

6. Capacity to Contract

That on incorporation a company acquires capacity to enter into contracts in its own name such as contracts of employment.

The foregoing characteristics of limited companies make them suitable vehicles of investment. Other advantages of investing through limited companies as opposed to other unincorporated associations such as partnerships include, but not limited to the following:

1. Companies are designed as investment vehicles and can raise huge amounts of capital from the general public through the sale of shares [public companies] unlike partnerships and sole proprietor-ships.
2. Limited Liability also minimizes the risk for investors as liability of the investors is always limited to the amount paid on the shares held by them.
3. The Constitution of the company provides a clear organization structure for the business. This is not available to the sole trader and partnerships.
4. Companies have a perpetual succession. Death of a shareholder will not affect the operations of the company as it would affect those of a partnership or a sole proprietorship.

E. UNINCORPORATED ASSOCIATIONS

1. These are associations formed by persons who come together to promote a common and lawful purpose but without going through the legal procedures that ultimately result in the creation of limited companies.

2. Accordingly, they do not have attributes of corporations. They therefore do not have legal existence of their own and property, if any, is jointly held by the members or by the trustees on behalf of all the members.

3. The rights of the members are enshrined in the Constitution of the association. Members are liable for debts and other obligations of the association, and in the event of dissolution, members are entitled to share in whatever remains after all the debts of the association have been paid.

4. Again, it must be emphasized that the legal consequences of the actions of the members of the association will depend on the law governing what has been done and the law governing what the association engages in.

5. The law governing the activities that the association engages in is the law that governs the association.

6. If the provisions of the Act of Parliament have been violated, the law will disregard the apparent association and, if necessary, make individuals personally responsible for the things that they have done while acting in the name of the association.

7. Again, as a general rule, an unincorporated association can only sue or be sued through its principal officers.

8. Unincorporated association may range from entities owned by one person called a sole trader to associations owned by many people such as partnerships, trade unions and societies.

1. Sole Proprietorship

Sometimes a person may decide to carry out their own businesses without entering into an association with any other person. Such businesses are called sole proprietor-ships, and the person who engages in such business is called a sole trader. The sole trader is the owner of the business and he may operate it alone or with the help of family members or his employees.

The benefits of engaging in this type of business include:

- a) Few legal requirements needed to start the business;
- b) The business is less regulated;

- c) A sole trader enjoys all the profits a lone;
- d) A sole trader does not share his business secrets;
- e) It is easy to make and implement business decisions as a sole trader does not need to consult with anyone;
- f) The sole trader is his own boss; and finally
- g) A sole trader is not limited on the nature of business he can engage in.

However, disadvantages of sole proprietorship include the following:

- a) First, a sole proprietorship is an unincorporated entity and it does not have legal personality;
- b) Second, the sole trader suffers all the losses a lone;
- c) Third, a sole trader works for long hours without resting;
- d) Fourth, a sole trader may not have enough capital for expansion of the business so as to enjoy the economies of scale;
- e) Fifth, the liability of a sole proprietorship is unlimited so that where the business enters into debts the personal assets of the sole trader may be seized to pay for the business debts;
- f) Sixth, a sole trader may make wrong decisions as he does not need to consult anyone;

- g) Lastly, sole proprietorship lacks perpetual succession. In this regard, since the business depends on the owner, the business may stop when the sole trader dies.

2. Partnerships

This is a form of business organization which is owned and operated by several people who have come together to form the partnership hoping to make a profit and later share it (*section 3(1) Cap 29, Laws of Kenya*).

This definition raises the five components of a partnership:

1. First, there must be a legal relationship bringing the partners together. This automatically contemplates the application of the principles of the law of contract;
2. Second, the contract must be between two or more people for it to qualify as a partnership. However, the maximum of individuals that may be registered as a partnership is fifty;
3. Third, the intention of the people coming together must be to carry out business;
4. Fourth, business must be carried out in common;
5. Fifth, the parties must have intended to make and share profits.

Persons who have entered into partnership with one another are called individual partners and collectively “a firm” and the name under which their business is carried on is “the firm name” (*section 6 of the Act*).

The partnership is therefore not a legal person in law and cannot enjoy the benefits of incorporation. Other disadvantages of carrying on business as partners is that decision making is not easy, partners are held liable for the omissions of other partners, and that the liability of some partners are unlimited. On the other hand, some of the advantages of partnerships include the following:

1. First, it is easy to register and operate partnerships;
2. Second, the management of the partnership is shared;
3. Third, losses are shared among the partners so that one does not suffer much;
4. Fourth, decisions is minimized;
5. Finally, the partnership shares the expertise of the partners.

A partnership may be brought into existence by the Act or by the agreement of the parties. Where the parties enter into an express agreement to start a partnership, the agreement is referred to as a partnership agreement. The agreement may be oral or written in the form of a partnership deed. Whatever the form, the agreement should embody all the rights and obligations contemplated under the Partnerships Act in addition to other matters that the parties may want to be bound by. It should be

noted that the agreement should be as conclusive as possible because where the agreement is silent, then the Act steps in. However, there are no provisions as to the contents of the agreement although, ordinarily, the agreement should show the following matters:

1. The name of the partnership;
2. The place of carrying on business;
3. The nature of the business;
4. The date of commencement and the duration of the partnership;
5. The capital of the partnership;
6. The accounts of the firm;
7. Division of profits;
8. Effect of death and bankruptcy of a partner;
9. Management of the business;
10. Settlement of disputes;
11. Rights of partners among others.

Consequently, the following obligations are imposed by the law on each partner:

1. A partner has an obligation to work with utmost good faith for the benefit of the partnership;

2. Partners are supposed to disclose all information that they know which may affect the partnership (*section 32 of the Act*);
3. Partners should not use their positions or connections with the firm to make secret profits. Partners should disclose and surrender any such profits (*section 33 of the Act*);
4. Partners must not compete with the business of the partnership. If they engage in competition, they should disclose and surrender the profits realized;
5. Partners are not supposed to use their positions in the partnership to harass their colleagues or to cause undue difficulties to their colleagues. In case a partner is responsible for dismissing other partners, this power must be exercised in good faith. Section 29 of the Act stipulates that a power to dismiss other partners can only be exercised where it is expressly recognized in the agreement by the partners.

Other than the above obligations, the Act also recognizes the rights of partners when dealing with each other. Section 28 of the Act confers the following rights to partners in their dealing with each other. The interests of partners in the partnership property and their rights and duties in relation to the partnership shall be determined, subject to any agreement express or implied between the partners, by the following rules:

1. All the partners are entitled to share equally in the capital and profits of the business;
2. Every partner has a right to be indemnified by the firm in respect of payments made and personal liabilities incurred by him (i) in the ordinary and proper conduct of the business of the firm; or (ii) in or about anything necessarily done for the preservation of the business or property of the firm;
3. A partner making, for the purpose of the partnership, any actual payment or advance beyond the amount of capital which he has agreed to subscribe is entitled to interest at the rate of six per centum per annum from the date of the payment or advance;
4. Every partner may take part in the management of the partnership business;
5. No person may be introduced as a partner without the consent of all existing partners;
6. Any difference arising as to ordinary matters connected with the partnership business may be decided by a majority of the partners, but no change may be made in the nature of the partnership business without the consent of all existing partners;
7. The partnership books are to be kept at the place of business of the partnership (or the Principal place, if there is more than one) and every

partner may, at all reasonable times have access to and inspect and copy any of them.

Finally, it must be noted that the rights and duties set in the Partnerships Act are not exhaustive and some of them impede the smooth operation of a partnership. This explains why the Act recognizes that the parties may agree on their own terms as they deem fit in order to avoid the hurdles in the Act.

Finally, a partnership may be dissolved under any one of the following circumstances:

a) Dissolution by Expiration or Notice

Pursuant to section 36, in the absence of a contrary agreement, every partnership may be dissolved in any of the following three circumstances:

1. If it was formed for a fixed term, by the expiration of that term;
2. If it was formed for a single adventure or undertaking, by the termination of that adventure or undertaking;
3. If it was formed for an undefined time, then it is dissolved at the will of any partner. This will is deemed expressed if any partner gives notice to that effect. The partnership is dissolved as from the date mentioned in the notice as the date of dissolution, or, if no date is so mentioned, as from the date of the communication of the notice (*Section 37(2) of the Act*).

b) Dissolution by Bankruptcy, Death or Charge

Where there is no agreement to the contrary, every partnership dissolves by death or bankruptcy of any partner (*Section 37(1) of the Act*). Again, if any partner suffers his share of the partnership property to be charged under this Act for his separate debt that will bring the partnership to an end at the option of any of the remaining partners (*Section 37(2) of the Act*).

c) Dissolution by Illegality of Partnership

Every partnership must be dissolved on the happening of an event that renders the partnership business illegal (*section 38 of the Act*). The dissolution under this condition is mandatory unlike the dissolution under *sections 36 and 37* which allows the partners to agree on the extension of the partnership.

d) Dissolution through a Court Order

Sometimes partners may not dissolve a partnership without the involvement of a court. Under such circumstances, any of the partners or their legal representatives may institute a proceeding in court for dissolution. The instances are provided under section 39 of the Act. They include the following:

1. When a partner is adjudge a lunatic, or is shown to the satisfaction of the court to be of permanently unsound mind, in either of which cases the

application may be made as well on behalf of that partner by his guardian *ad litem* or next friend or person having title to intervene as by any other partner;

2. When a partner, other than the partner suing, becomes in any other way permanently incapable of performing his part of the partnership contract;
3. When a partner, other than the partner suing, has been guilty of such conduct as, in the opinion of the court, regard being as to the nature of the business, is calculated to affect prejudicially the carrying on of the business;
4. When a partner, other than the partner suing, willfully or persistently commits a breach of the partnership agreement, or otherwise so conducts himself in matters relating to the partnership business that is not reasonably practicable for the other partner or partners to carry on the business in partnership with him;
5. When the business of the partnership can only be carried on at a loss;
6. Whenever in any case circumstances have arisen which, in the opinion of the court, which render it just and equitable that the partnership be dissolved.

3. Trade Unions

These are registered under section 11 of the Trade Unions Act (Cap 233, Laws of Kenya) with the primary objective of regulating the relations between employees and employers. Section 27(1) of the Act provides that a registered trade union may

sue or be sued under its registered name. Thus, trade unions may be referred to as a quasi –corporations. Under section 25 of the Act, a trade union is liable on any contract entered into by it or by an Agent acting on its behalf. However, no suit or other legal proceedings shall be maintained in any civil court against any registered trade union or an officer or member thereof in respect of any act done in contemplation or furtherance of a trade dispute (section 23 of the Act). Again, section 24 bars any such suits in respect of any tortuous act alleged to have been committed by or on behalf of the trade union. All the property of a registered trade union is vested in its trustees who use it for the benefit of the union and its members (section 41b of the Act). The property is vested in trustees because the union, being non-existent legally, cannot hold or own property in its name.

4. Societies

These are associations registered under the Societies Act (Cap 108, Laws of Kenya). Section 2(1) of the Act defines a society very broadly as including “any club, company, partnership or other association of ten or more persons, other than registered company, corporation, trade union, cooperative society, registered school, bank or partnership of more than twenty persons.” Examples of such societies are political associations, welfare societies and football clubs.

It should be pointed out that although registration under the Act does not confer corporate personality on the association it provides a legal framework for proper management of what is colloquially called the association's affairs and the machinery for bringing those affairs to an orderly end. Again, although the society can transact in its own name, this is merely recognized for convenience. Thus, the members of the society are held liable jointly and severally for the obligations of the society.

LECTURE III: THURSDAY & SATURDAY (VIRTUAL)

TOPIC III: INTRODUCTION TO THE LAW OF COMPANIES

A.WHAT IS COMPANY LAW?

- ❖ This is a study or the interrogation of the conduct/ roles of the principles governing the affairs or the conduct of that which the law recognizes as a company.
- ❖ Section 2 (1) of the Companies Act Cap 486 Laws of Kenya states what company means *as 'a company formed and registered under this Act or an existing company.'*
- ❖ This is a very vague definition, in the statute the word company is not a legal term hence the vagueness of the definition. The legal attributes of the word company will depend upon a particular legal system.
- ❖ In legal theory company denotes an association of a number of persons for some common object or objects in ordinary usage it is associated with economic purposes or gain.
- ❖ A company can be defined as an association of several persons who contribute money or money's worth into a common stock and who employ it for some common purpose.

- ❖ Our legal system provides for two types of associations namely
 1. Companies
 2. Partnerships.
 3. Upcoming is the cooperative society.
- ❖ The law treats companies in company law distinctly from partnerships in partnership law. Basically company law consists partly of ordinary rules of Common law and equity and partly of statutory rules.
- ❖ The common law rules are embodied in cases. The statutory rules are to be found in the Companies Act which is the current *Cap 486 Laws of Kenya*. It should denote that the Kenya Companies Act is not a self-contained Act of legal rules of company law because it was borrowed from the *English Companies Act of 1948* which was itself not a codifying Act but rather a consolidating Act.
- ❖ Exceptions to the Rules are stated in the Act but not the rules themselves. Therefore fundamental principles have to be extracted from study of numerous decided cases some of which are irreconcilable. The true meaning of company law can only be understood against the background of the common law.
- ❖ The sources of company Law include;

1. *Kenyan Companies Law Act* which is an amalgamating statute rather than a codified statute. It is a carbon copy of the *1848 U.K Act*.
 2. *Substance of Common Law and equity*-it contains the major principles of the Act that have been formulated over time.
- ❖ The foundation of Company Law is pillared on two main two fundamental legal concepts:
1. *The concept of legal personality; (corporate personality)* by which a company is treated in law as a separate entity from the members;
 2. *The theory of limited liability.*

B. THE CONCEPT OF LEGAL PERSONALITY

- ❖ When a company is incorporated it becomes a **body corporate/juristic person** distinct from its managers and members with independent legal existence in Law and has rights, obligations, capacities and in-capacities.
- ❖ The principle was founded in *Salomon and Salomon Company In 1980* where Lord Mc Naughten stated that: *"The company is at Law a different person altogether from the subscribers to the memorandum"*

FACTS OF THE CASE:

Mr Aron Salomon made leather boots and shoes in a large White Chapel High Street establishment. His sons wanted to become business partners, so he turned the business into a limited company. His wife and five eldest children became subscribers and two eldest sons also directors. Mr Salomon took 20,000 of the company's 20,006 shares. Transfer of the business took place on June 1, 1892. The company also gave Mr Salomon £10,000 in debentures (i.e., Salomon gave the company a £10,000 loan, secured by a charge over the assets of the company).

Soon after Mr Salomon incorporated his business a decline in boot sales, exacerbated by a series of strikes which led the Government, Salomon's main customer, to split its contracts among more firms to avoid the risk of its few suppliers being crippled by strikes. Mr Salomon assigned Edmund Broderip his debenture, the loan with 10% interest and secured by a floating charge. But Salomon's business still failed, and he could not keep up with the interest payments. In October 1893 Mr Broderip sued to enforce his security. The company was put into liquidation. Broderip was repaid his £5,000, and then the debenture was reassigned to Salomon, who retained the floating charge over the company. Some creditors were not paid and went to court. The question was whether Salomon and Salomon & Co were the same and should pay the creditors. The H.C and the C.O.A stated that there were but the H.O.L dissented and overruled. L. Mc

Naughten stated that there should be at least 7 persons to form a Co and when they combine they become one-The Co.

❖ This decision opens up new vistas to Co Lawyers and the worlds of commerce.

This is because:

1. It establishes the Legality of the one man company.
2. It establishes that incorporation is available not only large public companies and partnerships but also to sole proprietors as well.
3. It revealed that it was possible for a member not only to limit liability but to reduce the risk of laws by subscribing to the Co's debentures as opposed to shares.
4. This is the principle embodied in *S16 (2)* as a body corporate in the certificate of Memorandum as a legal person with a seal.

❖ This is the same principle mentioned in *Lees v Lees (1961)*. The one man company is therefore a legal person is not always human, it can be described as any person human or otherwise who has rights and duties at law; whereas all human persons are legal persons not all legal persons are human persons.

❖ The non-human legal persons are called corporations. The word corporation is derived from the Latin word *Corpus* which *inter alia* also means body.

- ❖ A corporation is therefore a legal person brought into existence by a process of law and not by natural birth.
- ❖ Owing to these artificial processes they are sometimes referred to as artificial persons not fictitious persons.

C. CLASSIFICATION OF COMPANIES

- ❖ *Section 389 of the companies Act provides that "no company, association or partnerships consisting of more than 20 persons shall be formed unless it is registered as a company under this Act."*
- ❖ There are three types of companies provided for under this section: -
 - i. Chartered companies
 - ii. Statutory companies
 - iii. Registered companies
- i. Chartered companies**
- ❖ The crown in the exercise of the royal prerogative has power to create a corporation by the grant of a charter to the person assenting to be incorporated. No such companies can be formed in Kenya after independence and section 389 only serve as a reminder of English origin of our companies Act.
- ii. Statutory companies**

- ❖ A company may be incorporated by means of a special Act of parliament. A statutory company has no shareholders and its initial capital is provided by the treasury. It is expected to operate according to commercial principles and to make profit. If it makes losses and becomes unable to pay its debts, its property can be attached by its creditors but it cannot be wound up on application of any creditor. However, the government will come to its aid if it has no cash or other assets to pay its creditors. Examples include- Kengen, KP&L.Co, Kenya Pipeline, Kenya Railways, KTDA, KVDA etc.

iii. **Registered companies**

- ❖ A registered company is formed by registration under the Companies Act. Section 2 of the Companies Act defines a company as "a company formed and registered under this Act."
- ❖ Classification of registered companies section 4(1) classifies registered companies into:-
 - a) Public company - A company formed by any seven or more persons.
 - b) Private company - A company formed by any two or more persons.

A private company or a public company may be:-

- i. *Limited by shares*: if the liability of its members is limited by its memorandum to the amount if any unpaid on the shares held by them.
- ii. *Limited by guarantee*: if the liability of its members is limited by its memorandum to an amount which the members have undertaken to contribute to the assets of the company in the event of its being wound up.
- iii. *Unlimited*: if it does not have any limit on the liability of its members.

D. PRIVATE AND PUBLIC COMPANIES

1. Private Company

- ❖ According to *section 30(1) of the Act*, a private company means a company which by its articles:-
 - a) Restricts the right to transfer its shares.
 - b) Limits the number of its members to fifty not including persons who are in employment of the company.
 - c) Prohibits any invitation to the public to subscribe for any shares or debentures of the company.

- ❖ *Section 30(2)* provides that where two or more persons hold one or more shares in a company jointly, they shall, for the purpose of this section, be treated as a single member.
- ❖ *Section 31* provides that if a private company fails to comply with any of the restrictions in the articles, it ceases to be entitled to any privilege or exemption conferred on private companies and thereupon the provisions of this Act shall apply as if it were not a private company.

Privileges of a Private Company

Certain provisions of the Companies Act do not apply to a private company but are applicable to public companies. These may be regarded as the privileges or advantages of a private company, which are as under:-

- i. A private company may consist of only 2 members.
- ii. A private company is entitled to commence business immediately on incorporation.
- iii. A private company may allow shares without issuing a prospectus or delivering to a registrar a statement in lieu of prospectus (Section 30 (1)).
- iv. A private company is not required to hold a statutory meeting or file a statutory report with the registrar.
- v. A private company need not have more than two directors.

- vi. Copies of balance sheet and profit and loss account filed with the registrar cannot be inspected by the public.
- vii. A director of a private company need not hold the share qualification.
- viii. Restrictions in regard to overall remuneration do not apply to a private company.

2. Public Company

- ❖ This is a company which is not a private company. There must be at least seven persons to form a public company.
- ❖ There is no restriction as to transfer of shares.
- ❖ The articles of a public company may however contain restrictions on the issue and transfer of shares.

Distinction between a Public company and a Private company

1. *Minimum number of members:* - For public company is seven whereas private company is two.
2. *Maximum number of members:* - There is no limit on the maximum number in case of public company, but a private company cannot have more than fifty members.

3. *Commencement of business:* - A private company can commence business as soon as it is incorporated, whereas a public company shall not commence its business immediately unless it has been granted the certificate of commencement of business.
4. *Invitation to public:* - A public company by issuing a prospectus may invite public to subscribe to its shares whereas a private company cannot extend such invitation to the public.
5. *Transferability of shares:* - There is no restriction on the transfer of shares in case of a public company whereas private company by its articles must restrict the right of members of transferring the shares.
6. *Number of directors:* - A public company must have at least three directors whereas private company may have two directors.
7. *Statutory meeting:* - A public company must hold a statutory meeting and file with the registrar a statutory report, but in case of a private company there are no such obligations.
8. *Name:* - The name of a private company must include the words "private ltd" at the end of its name but a public company has to use the words "Ltd" at the end of its name.

One Man Companies

- ❖ These are the companies in which one man holds virtually the whole of the share capital with a few extra members holding the remainder who may be his relatives or nominees. Being the largest shareholder such a person is generally the sole or the managing director and enjoys complete control over the company.
- ❖ This is done to fulfill the statutory requirements and such type of companies are perfectly valid and not illegal as established by leading case of *Saloman vs. Saloman & Co. Ltd.*

E. STATUTORY CORPORATIONS

- ❖ The difference between a statutory corporation and a company registered under the companies Act is that a statutory corporation is created directly by an Act of Parliament.
- ❖ The Companies Act does not create any corporations at all. It only lays down a procedure by which any two or more persons who so desire can themselves create a corporation by complying with the rules for registration which the Act prescribes.

LECTURE IV: THURSDAY & SATURDAY (VIRTUAL)

TOPIC IV: FORMATION OF COMPANIES

- ❖ A company comes into existence when a number of persons come together with a view to exploit some business opportunity.
- ❖ These persons are called promoters.
- ❖ The initial step that must be taken by promoters who are desirous of forming a company is the preparation of a document called memorandum of association to which at least seven of them will subscribe their names in case of a public company and two in case of private company, as prescribed by *Section 4 of the Act*.
- ❖ The next step is the delivery of the memorandum to the registrar of companies together with the following documents:-
 - i. *Articles of Association*:- This document contains the regulations for management of a company.
 - ii. *Consent to act as a director*:- If any person is appointed director of the company by the articles which are to be delivered for registration in lieu of Table A, Form No. 209 must be delivered for registration after being duly

completed and signed by him or by his agent authorized to do so. The form is the statutory signification of the person's consent to act as a director.

- iii. *List of persons who have consented to be directors.* (Form No. 210).
- iv. *Statement of the nominal share capital:-* This statement is delivered for taxation purposes pursuant to Section 39 of the Stamp Duty Act.
- v. *Declaration of compliance.* (Form No. 209):- Form No. 208 when duly completed and signed, constitutes the statutory declaration by an advocate engaged in the formation of the company that all the requirements of the Companies Act in respect of matters precedent to the registration of the company and incidental thereto have been complied with.
- ❖ If the aforesaid documents are correctly prepared in accordance with the provisions of the companies Act, the registrar grants a certificate of incorporation and the company is formed from the date of incorporation written in the certificate.

A. SIGNIFICANCE OF REGISTRATION

- ❖ *Section 389* provides that "No company, association or partnership consisting of more than twenty persons shall be formed for the purpose of carrying on any business ...unless it is registered under this Act."

- ❖ Registration is the condition precedent to the formation of a registered company and failure to register a proposed company will mean that it does not legally exist.

Case Law: *Fort Hall Bakery Supply Co. vs. Wangoe*

- ❖ *A plaintiff bearing the name "The Fort-Hall Bakery Supply Co." filed a case against a defendant for recovery of certain amount of money. During the hearing it was established that the business called "Fort-Hall Bakery Supply Co." was being carried on by a group of 45 persons and had not been registered under Companies Act. The defendant submitted that the action was not properly before the court since the business was illegal under Section 338.*
- ❖ *It was held that the plaintiff could not be recognized as having any legal existence and were incapable of maintaining the action. The court terminated the proceedings without making any order as to costs because a non-existent plaintiff can neither pay nor receive costs.*

B. EFFECT OF REGISTRATION

- a) The date mentioned in the certificate of incorporation is the date from which the company's legal existence commences. Consequently, if an incorrect

date is written in the certificate, that date would be regarded as the actual date on which the company was registered.

- b) The company's registration constitutes it "a body corporate". It becomes a legal person or "*corpora corporata*" whose name is that appearing in the memorandum of association. The certificate of incorporation is regarded as the company's birth certificate and the date written on it is the company's birthday.
- c) Once the company is registered it must be treated like any other independent person with rights and liabilities appropriate to itself.

❖ Other forms of corporations include:

1. Chartered corporations, these fall under the Universities Act in Kenya as an incorporation document.
2. State corporations which are governed either:
 - a) By statute
 - b) Order of the president. The president is enabled to form a corporation for a specific duty e.g NASCOP & the Nyayo Commission etc.
3. Registered Co's include limited Liability Co's and political parties.
4. Cooperative societies
5. Public benefit organizations-these are cooperations' registered by incorporations though they are not companies.

- ❖ Nearly all statutory rules in the Companies Act are intended for one or two objects namely:
 1. The protection of the company's creditors.
 2. The protection of the investors in this instance being the members.
- ❖ These underlie the very foundation of company law.

C. LIMITED LIABILITY

- ❖ Basically liability means the extent to which a person can be made to account by law in the event of liquidation.
- ❖ He can be made to be accountable either for the full amount of his debts or else pay towards that debt only to a certain limit and not beyond it.
- ❖ In the context of company law liability may be limited either by shares or by guarantee.
- ❖ *Under Section 4 (2) (a) of the Companies Act*, in a company limited by shares the members liability to contribute to the company's assets is limited to the amount of deficit in their shares suffices in the event of insolvency.

- ❖ *Under Section 4 (2) (b) of the Companies Act* in a company limited by guarantee the members undertake to contribute a certain amount to the assets of the company in the event of the company being wound up.
- ❖ Note that it is the members' liability and not the companies' liability which is limited.
- ❖ As long as there are adequate assets, the company is liable to pay all its debts without any limitation of liability.
- ❖ If the assets are not adequate, then the company can only be wound up as a human being who fails to pay his debts.
- ❖ The paying up by guarantee will take effect one year into the winding up of the company on the amount committed to guarantee.
- ❖ *Under S 4(2) (c)*, there are no limits as to the liability of members as to their private members as to their assets.

D. FORMATION AND REGISTRATION OF A LIMITED COMPANY

- ❖ First in relation to registration under the Companies Act. *Under S 4(1)* the minimum requirements subscribe that Both the Memorandum and Articles of Associations must each be signed by seven persons in the case of a public

company or two persons if it is intended to form a private company. These signatures must be attested by a witness.

- ❖ If the company has a share capital each subscriber to the share capital must write opposite his name the number of shares he takes and he must not take less than one share.
- ❖ The prerequisites therefore include;
 - a. The Name of the Co
 - b. A definition of whether it is public or private
 - c. Limited or unlimited liability
 - d. Limited by shares or by guarantee
 - e. Is there any share capital? If so, how much?
- ❖ The formers of a Co are called promoters.

E. THE PRIVATE COMPANY

- ❖ *S 10(1)* defines a private corporation as:
 - 1. Has a limit of the members as 50 excluding former and current employees (is it maximum or a minimum?).
 - 2. One that restricts the transfer of shares.

3. One that prohibits the public from buying shares or debentures, with a minimum No of two members and one director.
4. Can commence business on that day of incorporation S 177.
5. S 111 it needs no statutory meeting.
6. Has no need to publish financial statements under S 130,125,126.

❖ The Co Act was made for public Co's and not private Co's.

F. LIMITED AND UNLIMITED COMPANY

- ❖ There are no unlimited Co's in Kenya.
- ❖ A limited Co is one limited by the No of shares of the members.
- ❖ A share is the unit from which the share **capital forming the Co is divided.**
- ❖ **A Co can be limited by shares or guarantee or by its formers.**
- ❖ The amount of liability in a limited Co is pegged on the share Capital or the amount guaranteed by its masters.
- ❖ Unlimited Co's can have as many as 5 companies within it depending on the share capital.

G. TYPES OF REGISTERED COMPANY

❖ Before registering a company the promoters must make up their minds as to which of the various types of registered companies they wish to form:

1. They must choose between a limited and unlimited company; *Section 4 (2) (c)* of the Companies Act states that “*a company not having the liability of members limited in any way is termed as an unlimited company.*” The disadvantage of an unlimited company is that its members will be personally liable for the company's debts. It is unlikely that promoters will wish to form an unlimited liability company if the company is intended to trade. But if the company is merely for holding land or other investments the absence of limited liability would not matter.
2. If they decide upon a limited company, they must make up their minds whether it is to be limited by shares or by guarantee. This will depend upon the purpose for which it is formed. If it is to be a non-profit concern, then a guarantee company is the most suitable, but if it is intended to form a profit making company, then a company limited by shares is preferable.
3. They have to choose between a private company and a public company. *Section 30 of the Companies Act* defines a private company as one which by its articles restricts:
 - i. The rights to transfer shares;
 - ii. Restricts the number of its members to fifty (50);

- iii. Prohibits the invitation of members of the public to subscribe for any shares or debentures of the company.
- ❖ A company which does not fall under this definition is described as a public company. In order to form a public company, there must be at least seven (7) subscribers signing the Memorandum of Association whereas only two (2) persons need to sign the Memorandum of Association in the case of a private company.

H. STEPS TO FORMING A COMPANY

- ❖ An application for the reservation of the Co Name S19 (1) through registration pending the registrars signature for 30 days in the 1st instance whereby it shall be unavailable to others. During this time all the other docs must be filed.
- ❖ The registrar cannot register a name that he deems 'undesirable' this is a discretionary decision. The cost of every name is 100/=

A. *Memorandum of Association*: this is the document in which they express *inter alia* their desire to be formed into a company with a specific name and objects. The Memorandum of Association of a company is its primary document which sets up its external constitution and objects. It regulates transactions between the Co and 3rd parties.

I. CONTENTS OF THE MEMORANDUM OF ASSOCIATION

Par 1-Name of the Co as per S 5(1) (a)

Par 2-A standard statement stating that the document will be situated in Kenya

Par 3-Objects and purposes of Co. It creates the objects and purposes of the Co.

Par 4-Liability of Co if it is limited by shares or guarantee

Par 5-Capital with which the Co proposes to be registered and the divisions of the capital

Par 6-Desire of subscribers to see.....Co

Par 7-Particulars of subscribers-Name/position/profession/Shareholding held/signature witnessed by Lawyer.

Par 8-Date with which the Co shall be constituted:

B. *Articles of Association:* whereas the memorandum of association of a company sets out its objectives and constitution; the articles of association contain the rules and regulations by which its internal affairs are governed; dealing with such matters as shares, share capital, company's meetings and directors among others.

❖ **S 9-13-** Contains rules of internal management. Regulate the regulation between Co and members.

❖ **S 11(1& 2),** the Co may adopt the table in the 8th schedule in Table A: Most Co's use table A with modifications.

- ❖ It covers the transfer, transmission and dissolution of shares; voting and the quorum of meeting:
 - a. *Statement of Nominal Capital*: - this is only required if the company has a share capital. The fees that one pays on registration will be determined by the share capital that the company has stated. This is covered under S 23 of the stamp duty Act. The fees shall be paid at any National Bank Branch
 - b. *Declaration of Compliance*: this is a statutory declaration made either by the advocates engaged in the formation of the company or by the person named in the articles as the director or secretary. It is covered under S 17 (2) of the Co Act.
- ❖ The effect of such an oath is that all the requirements of the companies Act have been complied with where it is intended to register a public company, *Section 184 (4)* of the Companies Act also requires the registration of a list of persons who have agreed to become directors and *Section 182 (1)* requires the written consents of the Directors. It is an affidavit as sworn evidence that all the requirements of the formation of the Co have been met.
- c. The Notice of the situation of the Registered Office which under Section 108(1) **and** 14(1) of the statute should be filed within 14 days of incorporation;

- d. List of persons consented to be directors of a Co as of s 182(4). It should contain their name, description, date of birth.
 - e. Particulars of Directors and Secretary which under Section 201 of the statute are normally required 14 days of the appointment of the directors and secretary. The documents are then lodged with the registrar of companies and if they are in order then they are registered and the registrar thereupon grants a certificate of incorporation and the company is thereby formed. Section 16(2) of the Act provides that from the dates mentioned in a certificate of incorporation the subscribers to the Memorandum of Association become a body corporate by the name mentioned in the Memorandum capable of exercising all the functions of an incorporated company. It should be noted that the registered company is the most important corporation.
 - f. Presentation of the docs for registration at the registrar of Co's office... The process is to satisfy itself with 486. Registration and certification of incorporation acts as the birth certificate of the Co under s 16(1).
- ❖ Certification under s 17(1) is evidence of the fact that the any of the preliminaries to incorporation are according to Law.

CASE LAW: In *Jubilee Cotton Mills v Lewis*

❖ **S 16(2)** states that from the date of incorporation mentioned in the certificate of incorporation, the Co shall be a body corporate. (In law there is no fraction of the day) **Question:** What if the registrar refuses to register the Co.?

Answer: Application for an order of Mandamus

In R V Registrar of Co Ex Parte Bowen

Also In R V Registrar of Co Ex Parte Moore

Question: What if the objects of the Co are scrupulous (based on illegality; against morals or principles (i.e.-there is no God)?

Answer: It shall be denied according to chapter 4 the bill of rights.

See Bowman v The Secular Society L.N

LECTURE V: THURSDAY & SATURDAY (VIRTUAL)

TOPIC V: CONSEQUENCES (EFFECTS) OF INCORPORATION

A. INCORPORATION

1. A Corporation is a Legal Entity Distinct from its Members, Capable of Enjoying Rights being subject to Duties which are not the same as those Enjoyed or Borne by Members S16(2).

- ❖ The full implications of corporate personality were not fully understood till 1897 in the case of *Salomon v. Salomon [1897] A C 22*

FACTS OF THE CASE:

Salomon was a prosperous lender/merchant. He sold his business to Salomon and Co. Limited which he formed for the purpose at the price of £39,000 satisfied by £1000 in cash, £10,000 in debentures conferring a charge on the company's assets and £20,000 in fully paid up £1 shares. Salomon was both a creditor because he held a debenture and also a shareholder because he held shares in the company. Seven shares were then subscribed for in cash by Salomon, his wife and daughter and each of his 4 sons. Salomon therefore had 20,101 shares in the company and

each member of the family had 1 share as Salomon's nominees. Within one year of incorporation the company ran into financial problems and consequently it was wound up. Its assets were not enough to satisfy the debenture holder (Salomon) and having done so there was nothing left for the unsecured creditors. The court of first instance and the court of appeal held that the company was a mere sham an alias, agents or nominees of Salomon and that Mr. Salomon should therefore indemnify the company against its trade loss

- ❖ The House of Lords unanimously reversed this decision. In the words of Lord Halsbury ***"Either the limited company was a legal entity or it was not. If it was, the business belonged to it and not to Salomon. If it was not, there was no person and nothing at all and it is impossible to say at the same time that there is the company and there is not."***
- ❖ In the words of Lord MacNaghten *"the company is at a law a different person altogether from the subscribers and though it may be that after incorporation the business is precisely the same as it was before, and the same persons are managers, and the same hands receive the profits, the company is not in law the agent of the subscribers or trustee for them nor are the subscribers as members liable in any shape or form except to the extent and manner prescribed by the Act.... in order to form a company limited by shares the Act*

requires that a Memorandum of Association should be signed by seven (7) persons who are each to take one share at least. If those conditions are satisfied, what can it matter, whether the signatories are relations or strangers? There is nothing in the Act requiring that the subscribers to the Memorandum should be independent or unconnected or that they or anyone of them should take a substantial interest in the undertaking or that they should have a mind and will of their own. When the Memorandum is duly signed and registered though there be only seven (7) shares taken the subscribers are a body corporate capable forthwith of exercising all the functions of an incorporated company.

...The company attains maturity on its birth. There is no period of minority and no interval of incapacity. A body corporate thus made capable by statutes cannot lose its individuality by issuing the bulk of its capital to one person whether he be a subscriber to the Memorandum or not."

❖ There were several other Law Lords who decided business in the House. The significance of the Salomon decision is threefold.

- a) The decision established the legality of the so called one man company;
- b) It showed that incorporation was as readily available to the small private partnership and sole traders as to the large private company.

c) It also revealed that it is possible for a trader not merely to limit his liability to the money invested in his enterprise but even to avoid any serious risk to that capital by subscribing for debentures rather than shares.

❖ Since the decision in Salomon's case the complete separation of the company and its members has never been doubted.

2. The Company has Powers to Perpetual Succession. If a Co is created through a legal process, it exists in perpetuity through Laws S16(2). It can exist forever with its death being on winding up.

3. A Co shall have Limited Liability under S4(2) (a) (b). Members shall not lose assets due to the insolvency of the Co.

4. A Co shall have the ability to Own Property under S16(2) to Hold Land.
The Co has insurance interests in its own property away from its members

CASE : Macaura V. Northern Assurance Co. Ltd (1925) A.C. 619

FACTS OF THE CASE:

*The Appellant owner of a timber estate assigned the whole of the timber to a company known as **Irish Canadian Sawmills Company Limited** for a consideration of £42,000. Payment was effected by the allotment to the Appellant*

of £42,000 shares fully paid up in £1 shares in the company. No other shares were ever issued. The company proceeded with the cutting of the timber. In the course of these operations, the Appellant lent the company some £19,000. Apart from this the company's debts were minimal. The Appellant then insured the timber against fire by policies effected in his own name. Then the timber was destroyed by fire. The insurance company refused to pay any indemnity to the appellant on the ground that he had no insurable interest in the timber at the time of effecting the policy.

The courts held that it was clear that the Appellant had no insurable interest in the timber and though he owned almost all the shares in the company and the company owed him a good deal of money, nevertheless, neither as creditor nor shareholder could he insure the company's assets. So he lost the Company.

CASE: Katate v Nyakatukura (1956) 7 U.L.R 47A

FACTS OF THE CASE:

The Respondent sued the Petitioner for the recovery of certain sums of money allegedly due to the Ankore African Commercial Society Ltd in which the petitioner was a Director and also the deputy chairman. The Respondent conceded that in filing the action he was acting entirely on behalf of the society which was therefore the proper Plaintiff. The action was filed in the Central Native Court.

Under the Relevant Native Court Ordinance the Central Native Court had jurisdiction in civil cases in which all parties were natives. The issue was whether the Ankore African Commercial Society Ltd of whom all the shareholders were natives was also a native.

The court held that a limited liability company is a corporation and as such it has existence which is distinct from that of the shareholders who own it. Being a distinct legal entity and abstract in nature, it was not capable of having racial attributes.

5. The Co has the ability to Sue or be Sued to Enforce its Rights. This is part of the Rule in **Foss v Harbottle (1843)**

FACTS OF THE CASE:

*The claimants, **Foss and Turton**, were shareholders in a company 'The Victoria Park Company' which was formed to buy land for use as a pleasure park. The defendants were the other directors and shareholders of the company. The claimants alleged that the defendants had defrauded the company in various ways and in particular that the defendants had sold land belonging to them to the company at exorbitant price. The claimants now asked the court to order that the defendants make good the losses to the company.*

It was held by Vice-Chancellor Wigram that since the company's board of directors was still in existence, and since it was still possible to call a general meeting of the company, there was nothing to prevent the company from obtaining redress in its corporate character, and the action by the claimants could not be sustained.

*In **Foss vs. Harbottle** two minority shareholders in a company alleged that its directors were guilty of buying their own land for the company's use and paying themselves a price greater than its value. This act of directors resulted in a loss of the company.*

The minority shareholders decided to take action against the directors, but the majority shareholders in a meeting resolved not to take any action against the directors alleging that they were not responsible for the loss which had occurred.

The court dismissed the suit on the ground that the acts of the directors were capable of confirmation by the majority members and held that the proper plaintiff for wrongs done to the company is the company itself and not the minority shareholders and the company can act only through majority shareholders.

The rationale in that line of reasoning is that a company is a separate legal entity from the members who compose it and as such, if any right of the company is violated, it is the company which can bring an action through the majority.

It was held that, "If the thing complained is a thing which, in substance, the majority of the company are entitled to do, or something has been done irregularly which the majority of the company are entitled to do regularly or if something has been done illegally which majority of the company are entitled to do legally, there can be no use in laying litigation about it, the ultimate end of which is only that a meeting has to be called, and then ultimately the majority gets its wishes.

*It was also held that, it is elementary principle of law relating to joint stock companies that the court will not interfere with the internal management of the company, acting within their powers and jurisdiction to do so. Again it is clear that in order to redress a wrong done to the company or to recover monies or damages due to the company the action should **prima facie** be brought by the company itself".*

- ❖ It is also known as "**proper plaintiff principle**", which states that, in order to redress a wrong done to a company or to the property of the company or to enforce rights of the company, the proper claimant is the company itself, and

the court will not ordinarily entertain an action brought on behalf of the company by a shareholder.

- ❖ The courts will not interfere with the general rule (majority rule) **otherwise known as the regulatory principle, proper management rule or the proper management rule.**

See further *Wangari Maathai v Kenya Times*.

6.Capacity of the Company to Contract/Employ/Fire

CASE: Lee v Lee's Air Farming Ltd. (1961) A.C. 12

FACTS OF THE CASE:

Lee's company was formed with capital of £3000 divided into 3000 £1 shares. Of these shares Mr. Lee held 2,999 and the remaining one share was held by a third party as his nominee. In his capacity as controlling shareholder, Lee voted himself as company director and Chief Pilot. In the course of his duty as a pilot he was involved in a crash in which he died. His widow brought an action for compensation under the Workman's Compensation Act and in this Act workman was defined as "A person employed under a contract of service" so the issue was whether Mr. Lee was a workman under the Act? The House of Lords Held:

"That it was the logical consequence of the decision in Salomon's case that Lee and the company were two separate entities capable of entering into contractual relations and the widow was therefore entitled to compensation."

7. Ability to Have a Common Seal S16(2) to show that the CO has commissioned a certain Act done by the Co

B. ADVANTAGES OF INCORPORATION

1. **Capital Share Pooling.**
2. **Wide Capital Base Compared to Other Business Associations.**
3. **Limited Liability:** - since a corporation is a separate person from the members, its members are not liable for its debts. In the absence of any provisions to the contrary the members are completely free from any personal liability. In a company limited by shares the members' liability is limited to the amount unpaid on the shares whereas in a company limited by guarantee the members' liability is limited to the amount they guaranteed to pay. The relevant statutory provision is Section 213 of the Companies Act.
4. **Holding Property:** Corporate personality enables the property of the association to be distinguishable from that of the members. In an incorporated association, the property of the association is the joint property

of all the members although their rights therein may differ from their rights to separate property because the joint property must be dealt with according to the rules of the society and no individual member can claim any particular asset to that property.

5. **Suing and Being Sued**: As a legal person, a company can take action in its own name to enforce its legal rights. Conversely it may be sued for breach of its legal duties. The only restriction on a company's right to sue is that it must always be represented by a lawyer in all its actions. In **East Africa Roofing Co. Ltd v Pandit (1954) 27 KLR 86** *here the Plaintiff a limited liability company filed a suit against the defendant claiming certain sums of money. The defendant entered appearance and filed a defense admitting liability but praying for payment by installments. The company secretary set down the date on the suit for hearing ex parte and without notice to the defendant. This was contrary to the rules because a defence had been filed. On the hearing day the suit was called in court but no appearance was made by either party and the court therefore ordered the action to be dismissed. The company thereafter applied to have the dismissal set aside. At the hearing of that application, it was duly represented by an advocate. The only ground on which the company relied was that it had intended all along to be represented at the hearing by its manager and that the manager in fact went to the law courts but ended in the*

wrong court. It was held that a corporation such as a limited liability company cannot appear in person as a legal entity without any visible person and having no physical existence it cannot at common law appear by its agent but only by its lawyer. The Kenya Companies Act does not change this common law rule so as to enable a limited company to appear in court by any of its officers.

6. **Perpetual Succession:** As an artificial person, the company has neither body, mind nor soul. It has been said that a company is therefore invisible immortal and thus exists only in contemplation of the law. It can only cease to exist by the same process of law which brought it into existence otherwise, it is not subject to the death of the natural body. Even though the members may come and go, the company continues to exist. As long term business investment.

7. **Transferability of Shares:** Section 75 of the Companies Act states as follows:

"The Shares or any other interests of a member in a company shall be moveable property transferable in the manner provided by the Articles of Association of the Company." In a company therefore shares are really transferable and upon a transfer the assignee steps into the shoes of the assignor as a member of the company with full rights as a member. Takes place in the new members taking the enterprise of the old members by electing them as directors, **this is the redistribution of shares.** Note however that this transferability only relates to public companies and not private companies.

8. ***Specialized or Qualified Management:*** This falls under S177(2) to manage the direct affairs of the Company. The advantage here is the opportunity to vote.
N/B public (7) and private (2) minimum membership
9. ***Borrowing by Floating Charge by the Co to Secure a Debenture:*** Such a charge shall remain dormant until it crystallizes (*Illingworth v Hodson*). The benefits of a floating charge are that:
- a. It enables a Co with fixed assets to borrow if it has fixed it;
 - b. Enables the Co to use the assets as security;
 - c. The charge does not interfere with the daily business of the Co.
10. **Capacity to Contract, to Own Property, Invest and Enhance the Probability of Earning Profit. It is the duty of the Co to defend its members.**
11. ***Borrowing Facilities:*** in practice companies can raise their capital by borrowing much more easily than the sole trader or partnership. This is enabled by the devise of the '*floating charge*' a floating charge has been defined as a charge which floats like a cloud over all the assets from time to time falling within a certain description but without preventing the company from disposing of these assets in the ordinary course of its business until something happens to cause the charge to become crystallized or fixed. The ease with which this is done is facilitated by the Chattels Transfer Act which exempts companies from compiling an inventory on the particulars of such charges and also by the

bankruptcy Act which exempts companies from the application of the reputed ownership clause. As far as companies are concerned the goods in the possession of the company do not fall within the reputed ownership clause. The only disadvantages are three:

- i. Too many formalities required in the formation of the company;
 - ii. There is maximum publicity of the company's affairs;
 - iii. There is expense incurred in the formation and in the management of a company.
- ❖ In order to form a company, certain documents must be prepared whereas no such documents need to be prepared to establish business as a sole proprietor or partnership and throughout its life a company is required to file such documents as balance sheets and profits and loss accounts on dissolution of the company it is required to follow a certain stipulated procedure which does not apply to sole traders and partnerships.

C. DISADVANTAGES OF INCORPORATION

1. Non participation in management of the Co is absent to shareholders as the problem is left to directors. This is the genesis of the Agency problem.
2. Formalities during the incorporation to the winding up of the Co are time consuming and require money. If the Co by Corporation tax reducing the

profits up to 30% Inflexibility to the adoption of new measures that may be necessary and beneficial to the Co due to the *ultra vires* doctrine. Contractual obligations depend on the objects of the Co to those reasonably incidental to the Objects.

3. Too much publicity. Public Co's have undue publicity by a registered office. Postal address, painted or affixed names in legible Roman Letters, the annual returns are open to the public, public documents to the registrar are open for public scrutiny. S384 (1). The winding up of Co's is done in public.
4. Co's are expensive to form, maintain and wind up. In the formation there is the search fee, legal fee, registration fee and stamp duty. In the Life of the Co there is the registration documents, directors' allowances, auditors and auditors' reports and the holding of general meetings; under the winding up S302 there is the liquidators' remuneration, **preferential treatment S311**, debts taxes and local rates.

LECTURE VI: THURSDAY & SATURDAY (VIRTUAL)

TOPIC VI: LIFTING THE CORPORATE VEIL

1. (RULE IN *SALOMON v SALOMON*)

- ❖ The general rule is that a company is a legal person and is distinct from its members.
- ❖ The members are united to form the person we see as the company thus going behind this person so that going behind the corporate person so that we see the membership of the Co is regarded as lifting the curtain, a veil, or a shield between the company and its members, thus protecting the latter from the liability of the former.
- ❖ The veil is impassable as an iron curtain.

2. RAISING THE CURTAIN

- ❖ Part of the Co's information is with the public but most of the pertinent information remains with the company.
- ❖ To get this information, to do so will be to investigate the shareholders.

- ❖ To break the Co from the individual shareholders would be breaking the corporate shell.
- ❖ Both principles are identified by statutory and common Law exceptions so that this action takes place.
- ❖ It is instituted when the notion of legal entity is used to defeat public convenience, justify wrong, protect fraud or defend crime the law will regard the company as an association of persons.
- ❖ In these cases the law disregards the corporate entity and pays regards to the economic realities behind the legal façade.
- ❖ The court may look behind the artificial person- the company and take account of the personalities of natural persons- the cooperators.
- ❖ These cases are exceptions to the principle in *Saloman v. Saloman & Co. Ltd* are two-fold:
 1. Lifting by courts (common law)
 2. Lifting by statutes

A. LIFTING BY COURTS

- ❖ L Denning in *Littward Mailing Order Stores Ltd* stated that; Courts often draw aside the veil, they often put aside the mask.
 - ❖ They look to see the lies behind the mask.
 - ❖ Legislature has shown the way by group accounts and the courts should follow suit, the question thus becomes just how far have the courts followed suit?
- i. Determination of Character**
- ❖ A Co is a person thus in times of war, the court will lift the veil to see whether a company controlled by the enemy aliens.

Case Law: *Daimler Co Ltd vs. Continental Tyre & Rubber Co. Ltd (1916)*

FACTS OF THE CASE:

A company was incorporated in England with a capital of £25,000 in £1 shares for the purpose of selling in England tires made in Germany by a German company, which holds bulk of shares in the English company. The holders of the remaining shares (except one and all the directors were Germans resident in Germany). The one share was registered in the name of the secretary, who was born in Germany, but resided in England and had become a naturalized British subject. After the outbreak of the war between England and Germany, an action was commenced in the name of the English company on the instructions of the secretary, for a

payment of trade debt. One of the defenses was that the company was an alien company and that payment of the debt would be trading with the enemy.

In his judgment, Lord Parker stated:

"My Lords, the truth is that considerations which govern civil liability and rights of property in time of peace differ radically from those which govern enemy character in time of war. The law on the subject may be summarized in the following propositions:

A company incorporated in the UK is a legal entity, a creation of law with the status and capacity which the law confers. It is not a natural person with mind or conscience.

*Such a company can only act through agents properly authorized and as long as it is carrying on business in this country through agents so authorized and residing in this country, it is **prima facie** to be regarded as a friend.*

Such a company may, however, assume an enemy character. This will be the case if its agents or the persons in defacto control of its affairs are resident in an enemy country or taking instructions from or acting under the control of enemies.

The character of individual shareholders cannot itself affect the character of the company in times of peace. The enemy character of individual shareholders and

their conduct may however, be very material on the question of whether the company's agents in defacto control of its affairs are in fact adhering to, taking instructions from or acting under the control of enemies. This will vary with the number of shareholders who are enemies and the value of their holdings. Given in the case the fact that the secretary held one share only out of 25,000 shares and was the only shareholder who was not an enemy might well suggest that he was acting under the control of, taking his instructions from, or adhering to the enemies.

ii. Where the Company is a Sham

- ❖ The court will lift the veil where the device of incorporation is used for some illegal or improper purpose.
- ❖ The courts have intervened on numerous occasions and lifted the veil in order to circumvent a fraudulent or improper design by a bunch of scheming promoters or shareholders.

Case Law: Jones vs. Lipman:

FACTS OF THE CASE:

Lipman agreed to sell freehold land with registered title to the plaintiff (Jones) for £5,250. Pending completion he sold and transferred the land to the defendant

company (having a capital £100, which he acquired and of which he and a clerk were sole shareholders and directors), for £3000 of which 1,564 was borrowed by the defendant company from a bank and the rest owing to him.

In an action by the plaintiff for specific performance, it was held that, the defendant company was a cloak for Lipman.

The Lord Lawrence in his judgment stated that the defendant company is the creature of Lipman, a device and a sham, a mask which he holds before his face in an attempt to avoid recognition by the eye of equity. The proper order to make is an order on both the defendants specifically to perform the agreement between the plaintiffs and Lipman.

iii. Where the Company is Acting as the Agent of the Shareholders

- ❖ The Co is not the agent or the trustee, for the subscriber in Law.
- ❖ However, the courts have at times disregarded this rule so that the Co is deemed an agent of the subscriber, which it is necessary to know what transaction the Co has gotten itself by looking at the subscribers behind the mask.

CASE: This was shown in *Re T.G Films Ltd*

FACTS OF THE CASE:

The Co had one hundred shares with 90 being held by American shareholders and 10 held by British, all the individuals within the Co were American, it was held that the British were simply a nominal shareholder.

Also see ***Smith Stone & Knight v Birmingham Corp*** and ***DHN food distributors & Tower Hamlets Borough Councils***

- ❖ The court will always disregard the subsidiary Corp to perpetuate the fraud or deny the fraud
- ❖ One of the ratio decedent in Saloman's case was that "the company is not in law an agent of the subscribers. Under the ordinary rules of law, a parent company and a subsidiary company even 100% subsidiary company are distinct legal entities, and in the absence of an agency contract between the two companies, one cannot be said to be the agent of the other.
- ❖ If a court held that a company acted in a particular instance as an agent of its holding company the veil of incorporation would have been lifted.

Case Law: *Firestone Tyre & Rubber vs. Llewelin*

FACTS OF THE CASE:

An American company formed a wholly-owned subsidiary company in England to manufacture and sell its brand of tyres in Europe. The distributors sent their orders to the subsidiary direct and the orders were met without any consultation with the American company. The subsidiary received the money for the tyres sold to the distributors and after deducting its manufacturing expenses plus 5 percent, it forwarded the balance of the money to the American company. All the directors resided in England except one who was the president of American company and they managed the subsidiaries affairs free from day-to-day control by the American company.

It was held that the American company was carrying on business in England through its English subsidiary 'acting as its agent' and it was consequently liable to pay UK tax.

iv. Group Enterprises

- ❖ Employment by the parenting Co can be no more than the subsidiary Co.
- ❖ In *Haroldworth Holdsworth v Caddies*, a managing director of a holding company was appointed to perform the duties and exercise the powers of the business of the holding company and its subsidiaries as were assigned to him by the board of the holding company. It was held by the House of Lords that,

after being confined to the business of one of the subsidiaries, this was not a breach of his service agreement.

- ❖ The board delegates its powers to the manager, such that the subsidiary and the Co are one and the same thing.

v. Ratification of Corporate Acts

This is covered in the **Case of Bamford v Bamford** :

FACTS OF THE CASE:

Where the shareholders and the Co were treated as the same thing. The directors had used their powers to issue their shares in breach of the proper purposes principle. A minority shareholder brought a directive action set aside but ratification defeated the action. Harman LJ Stated that directors can by making a full and frank disclosure and calling together the general body of the shareholders, obtain absolution and forgiveness of their sins provided the acts are not ultra vires the Co and everything will go on as if it had been alright since the beginning.

CASE: Re Express Engineering,

FACTS OF THE CASE:

Five shareholders of a Co who were also shareholders of a Co voted on a decision to get into a contract where the Co purchased property for themselves and also approved the issue to themselves of securing the debentures securing payment to them of the purchase money. This was against the Articles. The Co went into liquidation and the liquidator argued that all the directors were disqualified from voting on the purchase and security contracts and so he sought a declaration that the debentures were invalid.

The COA held that the Co was bound by the unanimous assent of the shareholders.

vi. Fraud/Improper Conduct

Re Burgle Press Ltd-Haman J

\$ 210 Of Companies Act,

vii. Evading the Legal Obligations

Gilford v Motor Co and another

Jones v Lipman

Yasmin Priest v Pretodel

viii. Ascertainment of Residence

- ❖ Though the CO must keep a place of residence to keep the directors from making shoddy deals and running away.
- ❖ The place of residence of the Co is where the central Mgt abides, where board meetings are made.
- ❖ The corporate shell is thus pierced to know the place of residence where the Mgt abodes.

[*De Beers Consolidated Mines Ltd v House*]

ix. Protection of Revenue

- ❖ The courts may disregard the corporate entity of a company where it is used for tax evasion or to circumvent tax obligation.
- ❖ Further, where it is desired to establish for tax purposes in what country a company is resident the court will lift the veil and find out where the control management is and that determines the residential status.

B. LIFTING BY STATUTES

- ❖ Courts while experiencing their inherent jurisdiction to do justice and fairness may lift a company's veil so as to meet the ends of justice.
- ❖ L Devlin in *Bank Voor Henschel v Slatford* stated that the **legislature** can forge a sledgehammer capable of cracking the corporate shell/lift the veil.
- ❖ The court may lift the veil because of the following reasons:-
 - i. **Membership Fallen Below Statutory Minimum (Section 33)**
 - ❖ If at any time the number of members of a company is reduced below two in case of private company or below seven in case of public company and it carries on business for more than six months while the number is so reduced, every member who knows of this fact will become liable to unlimited extent for the payment of the whole debts of the company contracted during that time.
 - ❖ It should be noted that the section limits the members' liability to debts contracted after six months. It does not make the member liable for any debts incurred during the six months which follow the reduction in membership.
 - ii. **Non-Publication of a Company's Name (Section 109 (4))**

- ❖ The Act requires a company's officers and other agents to write its name on its seal, letter business documents and negotiable instruments.
- ❖ It must be in clear legible and correct Roman alphabetical form.
- ❖ This is done for the benefit of third parties who might contract with a limited company without realizing that it is a limited company.
- ❖ Any officer or agent of the company who does not comply with the aforesaid statutory requirement (name of Co is not published, unrepresented) shall be liable to fine not exceeding sh 1,000 and shall further be personally liable to the holder of the bill of exchange, promissory notes, cheque or for goods which did not bear the company's correct name, unless the amount due thereon is duly paid by the company.
- ❖ The imposition of personal liability on the company agent is what is regarded in a somewhat loose sense as "*lifting the veil of incorporation.*" In such a case the mis- description must be grave.
- ❖ *This was held in **Goldsmith Sicklemere v Baxter** where it was held that the misdemeanor was not grave.*
- ❖ *In **Durham Fancy Goods Michael Jackson Fancy Goods Ltd** Donald J held that the Abbreviation must convey the full meaning of the word.*

- ❖ *It was held that Ltd describes a Co rather than identify a Co.*

iii. Group Accounts (Section 150-153)

- ❖ Section 150 requires a company which has subsidiaries to lay before the company in a general meeting accounts or statements dealing with the state of affairs and profit and loss account of the company and the subsidiaries at the time when the company's own balance sheet and profit and loss account are laid before the company's general meeting.
- ❖ This is regarded in a loose sense as a case of "*lifting the veil*" because a holding company is obliged to incorporate into its balance sheet the assets and liabilities of the subsidiary company as if they were its own assets and liabilities.
- ❖ This is a modification of the general principle that a company's assets and liabilities are not a members assets and liabilities and would not therefore be incorporated into the members own balance sheet.
- ❖ S 150(2) the group accounts shall not deal with a subsidiary of the directors of the holding accounts of the opinion that the consolidation is impracticable, harmful to the business, expensive, no real value to members, will cause unnecessary delay in the operation of the Co, the statements are misleading or of the accounts are **so different**.

- ❖ **S 153(1)** directors of a land holding Co must ensure that the financial year of the subsidiary Co coincide with the financial year of the holding Co and the statement of affairs is laid before the General Meeting to show the full group accounts of the full balance sheet.
- ❖ The consolidated account shall show the profit and loss account.
- ❖ **S152** the statement shall state the truth and shall show the profit and loss and the state of affairs as a whole and shall be treated as one.

iv. Investigation of Company's Affairs

- ❖ **Section 167** gives an inspector appointed by the court to investigate company's affairs the power to investigate the affairs of a company's subsidiary or holding company, if the inspector thinks it necessary to do so for the purpose of his investigation.
- ❖ **S16 of the 5/16** shows the circumstances through which the court may send an investigator to investigate the holding Co.
- ❖ If the investigator thinks it fit to look into the affairs of a Co or subsidiary, they shall inspect the Co, an investigation instituted pursuant to this power would be regarded in a loose sense, as an instance of "*lifting the veil*" because the order

to investigate a company sufficed to investigate the company's member as if they were one entity.

v. Investigation of Company's Membership

- ❖ **Section 173(1)** empowers the registrar to appoint one or more competent inspectors to investigate and report on the membership of any company for the purpose of determining the true persons who are or have been financially interested in the success or failure of the company or able to control or materially to influence the policy of the company.
- ❖ **S102** shows the extent to which the registrar may **appoint the investigator or on application** of members.
- ❖ For the purpose of that investigation, **Subsection 5** of the same section confers on the inspector power to investigate the membership of the company's subsidiary or holding company for the same purpose.

vi. Takeover Bids

- ❖ **Section 210** provides that where a scheme or contract involving the transfer of shares to another company has been approved by the holders of not less than 9/10 in value of the shares whose transfer is involved, the transferee company may at any time within two months after the making of the offer by the transferee company, give a notice to the dissenting shareholder.

- ❖ The dissenting shareholder must then apply to the court within one month from the date on which the notice was given to restrain compulsory acquisition of his shares.
- ❖ The court may, in an appropriate situation, lift the veil of incorporation.

CASE: In Re Burge Press Ltd: *An offer was made by a Co and was regarded as having made in substance by the Co members. The court lifted the veil of incorporation by treating the Co and its members as one for the purpose of acceptance of the offer.*

vii. Fraudulent Trading

- ❖ This requires a court order to enforce where the Co had an intent to defraud off creditor or any other person.
- ❖ If business has been carried out for any other person.
- ❖ The Court may do this on the application of a creditor, contributor, official receiver or liquidator.
- ❖ If the Court is convinced then it will order personal liability on all debts and liabilities:
 - a) The disadvantage would be that such an order can only be granted if the CO is being wound up.

b) The claimant must prove the onerous burden of fraud.

- ❖ **Section 323** provides that if in the course of the winding up of a company, it appears that any business of the company has been carried on with the intent to defraud creditors of the company or for any fraudulent purpose, the court on application of the liquidator or any creditor or contributory, if it thinks proper so to do, declare that any person who were knowingly parties to the carrying on of the business in a manner aforesaid shall be personally responsible without any limitation on liability for all or any of the debts or other liabilities as the court may direct.
- ❖ **Under SS (3)** if the Co was criminally liable then the directors shall be imprisoned for not less than 3 years but not more than 10 years.
- ❖ In *Re Gerald Cooperatives Ltd*, if any application is made by any of these persons, then the person shall be liable to the Co.
- ❖ In *Re Miadstone Distributors Co* it was held that a positive step must be taken by the person concerned. It can be invoked against the director, members or any other person concerned in the fraudulent trading. The disadvantage is that the person must prove fraud which had a very high burden of proof and also; if the liquidator applies to the court any monies received are distributed to the creditors generally and form part of the general assets of the Co.

- ❖ However, if the creditor applies directly to the court, the court may grant him actual loss or alternatively order that they pay him the actual debt.
- ❖ This was the Case in *Re Cyona Distributors*, The difficulty of proving fraud was expressed in *Re Parreck and Lyon Ltd. Re William Leitch Brothers Ltd* the principle was invoked. The personal liability of the person concerned is what constitutes an instance of "*lifting the veil*" of incorporation.

THE SUBSIDIARY COMPANY

- ❖ It is covered by **S154**.
- ❖ If a Co is a part of the holding Co and the holding Co controls its composition or board of directors and the holding Co holds more than half of the nominal shares value, then It is a subsidiary.
- ❖ Also a Co will be a subsidiary if the Holding Co is a subsidiary of another Co.
- ❖ **S29** states that a body Corporation can never be a member of the holding Corporation as a shareholder/subscriber.
- ❖ A transfer of shares from the holding Co to the subsidiary has no effect.
- ❖ There are exceptions to the rule covered in **S150-153**.

- ❖ **S150** breaks the veil on group accounts.
- ❖ **S159** talks of auditors and ;
- ❖ **S147-157** covers subsidiaries.
- ❖ **S161** states that if a person is disqualified from holding a position in the holding Co he is disqualified from holding a position on the subsidiary.
- ❖ **S191** states that, it is unlawful for the Co to give a loan/guarantee/security to a director, however, a subsidiary can give a loan to the holding Co. [These sections show the importance of having a subsidiary].

LECTURE VII & VIII: THURSDAY & SATURDAY (VIRTUAL)

TOPIC VII: THE CONSTITUTION OF THE COMPANY

PART A. ARTICLES OF THE ASSOCIATION

- ❖ The Articles of association are defines in S 2(1) which **states that:** *It regulates business between the Co and its members Art 9. Under Article 10 the Article must have the No of members and must define if they are limited by shares or by guarantee.*
- ❖ The articles of association are the rules and regulations of a company framed for the purpose of internal management of its affairs.
- ❖ The articles of association of a company are subordinate to and are controlled by the memorandum of association.
- ❖ **Lord Cairns** observed in this regard "*The memorandum as it were the area beyond which the action of the company cannot go; inside that area the shareholders may make such regulations for their own government as they think fit.*"

❖ The Act does not provide for the contents of the shares and thus the Co may under **S11** adopt all or any of the regulation under table A. However, Table A is a sample of a table of contents for a private Co.

❖ **Section 12** of that Act provides that the articles shall be:-

(a) In English language

(b) Printed

(c) Divided into paragraphs numbered consecutively, and

(d) Signed by each subscriber to the memorandum in the presence of at least one witness, who shall attest the signature and add his occupation and postal address.

❖ **Contents of the Articles:**

1) Adoption of preliminary contracts

2) Number and value of shares

3) Allotment of shares

4) Calls on shares

5) Forfeiture of shares

6) Transmission of shares

7) Alteration of capital

- 8) Share certificates
- 9) Conversion of shares into stock
- 10) Voting rights and proxies
- 11) Meetings and the quorum.
- 12) Directors and their appointments including the Managing director
- (107)
- 13) Separation of powers between the AGM and the Board.
- 14) Office of the Co secretary.
- 15) Accounts and Audit
- 16) Winding up

- ❖ *Section 13(1)* provides that a company may by special resolutions alter or add to its articles.
- ❖ *Section 13(2)* provides that any alteration or addition so made in the articles shall subject to the provisions of this Act, be as valid as if originally contained therein.

I. LIMITATIONS ON POWER TO ALTER ARTICLES

- ❖ The following are the legal restrictions on a company's power to alter its articles:-

- (a) The alteration must not be inconsistent with the provisions of the memorandum. This means that an alteration to include a clause, which contravenes a provision in the company memorandum, is of no effect.
- (b) ***Under section 13(1)***, an alteration which contravenes a provision in the Act is null and void. For example, articles cannot authorize a company to purchase its own shares.
- (c) The alteration of the article must be made in good faith for the benefit of the company as a whole.
- (d) The alteration of articles must not constitute a fraud on minority.
- (e) ***Section 24*** provides that no member of a company shall be bound by an alteration made in the articles after the date on which he became a member if and so far as the alteration requires him to take or subscribe for more shares than the number held by him at the date on which the alteration was made, or in any way increases his liability as at the date to contribute to the share capital.
- (f) An alteration in the articles which causes a breach of contract with an outsider will be inoperative.
- (g) The alteration must not sanction anything which is illegal.

II. LEGAL EFFECTS OF ARTICLES

- ❖ *Section 22* provides that the article shall, when registered, bind the company and the members thereof to the same extent as if they respectively had been signed by the company and by each member, and contained covenants on the part of each member, to observe all the provisions of the articles.
- ❖ The effect of these provisions is to constitute through the articles of a company a contract between each member and the company. The effect and the implications of this section may be appreciated by considering how the articles bind:-

(a) Members to the Company and the nature of the contract

- ❖ Each member of the company is bound to observe the various provisions of the articles as he had actually signed the same.

CASE LAW: *Hershell Wetton; Queen & Asteria Ltd v Salmon; Hickman vs. Kent (1957)*

- ❖ The articles provided for the reference of disputes between a member and the company to arbitration, if a shareholder brought an action in court against the company in connection with a dispute between the company and himself in his capacity as a member. It was held that the company was entitled to have the

action stayed, as the articles amounted to a contract between the company and Hickman to refer such disputes between them to arbitration.

- ❖ Asbury J defined it as; *an ordinary contract that imposes obligations on the parties and members. It is a contract between the Co and members only.*
- ❖ The rights can only be enforced by members in their capacity as members.
- ❖ That the contract is subject to the provisions of the Co Act and the Memorandum of Association.
- ❖ That the terms are not static but dynamic within the limits of S 13(1) (2).
- ❖ But a dispute between the company and a director in his capacity as a director would not be within the terms of such articles even if the director was also a member (*Beattie vs. E& F. Beattie Ltd, 1938*).

(b) Company to the Members

- ❖ The company is bound to the members by the various provisions contained in the articles.
- ❖ The company can exercise its rights as against any member only in pursuance of and in accordance with the articles.
- ❖ Any member is entitled to sue the company to prevent any breach of articles which would affect his rights as a member of the company.

- ❖ Thus where a right is conferred by the articles on a shareholder to vote at a company meeting, the chairman of the meeting cannot deprive him of his right.

CASE LAW: Wood vs. Odessa Water Works Co. (1889)

The articles of association of the defendant company provided that "the directors may, with the sanction of the company at a general meeting, declare a dividend to be paid in cash to the members." Instead of paying cash dividend to the shareholder, an ordinary resolution was passed to give them debenture bonds. The plaintiff, a member sued the directors for acting on the resolution. The directors were restrained from acting on the resolution on the ground that "to be paid" mean to be paid in cash and the debenture bonds proposed to be issued were not payment in cash. The articles provide that the directors may with the sanction of a general meeting declare a dividend to be paid to shareholders, prime facie that means to be paid in cash.

(c) Members Inter-se

- ❖ Articles do not constitute express agreement between the members of the company. Yet each member of the company is bound by the articles on the basis of implied contract to the other members.
- ❖ The articles regulate the rights of the members' interests but such rights can be enforced only through the company.

- ❖ When the Articles are registered there is a second contract between the members and other members.
- ❖ Sterling J in Wood v Odessa stated that *the problem is always enforce-ability generally it is impossible but specific performance can be done either by Liquidation.*

CASE LAW: Ray field vs. Hands (1960)

Article II of the articles of association of Field-Davis Ltd provided: "Every member who intends to transfer shares shall inform the directors who will take the said shares equally between them at a fair value. Ray field, a member, sought to compel the defendants, the three directors of the company to purchase his shares in accordance with this provision. The court declared that they were bound to do so. The relationship here is between the plaintiff as a member and the defendants not as directors, but as members."

(d) Company to Outsiders

- ❖ Articles do not constitute any contract between the company and an outsider. An outsider is not entitled to enforce the articles against the company for any breach of right that is conferred on him by the articles.

CASE LAW: Eley vs. Positive Government Life Assurance Company (1876)

The articles of the company provided that Eley should be a solicitor of the company for life and should not be removed from his office except on account of misconduct. He was also a member of the company. Eley acted as a solicitor of the company for some time but ultimately the company discontinued his services without any allegation of misconduct. He sued the company for damages for breach of the contract. It was held that the action was not maintainable because the right which he attempted to enforce was conferred upon him in a capacity other than of a shareholder.

TOPIC VIII: THE CONSTITUTION OF THE COMPANY

PART B: MEMORANDUM OF ASSOCIATION

- ❖ Primary document for the formation of every Co. Memorandum of association was judicially defined by Lord Cairns in "*Ashbury Railway Carriage Co. Ltd vs. Riche*" as the "charter" which defines the limitations of the powers of a company to be established under the Act."
- ❖ A company pursues only such objects and exercises only such powers as are conferred expressly in the memorandum.
- ❖ A company cannot depart from the provisions contained in its memorandum, however great the necessity may be. If it does, it would be *ultra vires* the company and therefore wholly void.
- ❖ The purpose of the memorandum is to enable the shareholders, creditors and those who deal with the company to know what the permitted range of the enterprise is. It defines as well as confines the powers of the company.
- ❖ Lord Cairns in *Ashbury Railway Carriage Co. Ltd vs. Riche* pointed out that, "*the memorandum as it were the area beyond which the action of the company*

cannot go; inside that area the shareholders may make such regulations for their own government as they may think fit.”

CASE LAW: Ashbury Railway Carriage Co Ltd vs. Riche

A company was registered under Companies Act 1862 and the objects clause was defined as follows: The objects for which the company is established are to make and sell, or lend on hire, railway carriages and wagons, and all kinds of rail plant, fittings, machinery and rolling stock; to carry on the business of mechanical engineering and general contractors; to purchase and sell, as merchants, timber, coal, metals and other materials and to buy and sell any such materials on commission or as agents.

The directors agreed to purchase a concession for making railway in Belgium; and form a company in Belgium called Society Anonyme to work the concession and it was further agreed that Mr. Riche commence the work. Later difficulties arose and the shareholders of Ashbury Co. disapproved of what had been done in the matter of the railway, and required the directors to take over the company's interest therein and to indemnify the shareholders. The directors, however on behalf of the shareholders repudiated the contract for the construction of the railway, as being ultra vires the company and Mr. Riche sued the company for damages for breach of contract.

It was held that the contract was ultra vires (beyond the powers of) the company and that accordingly the company was not liable to Mr. Riche. Lord Cairns said that the contract was entirely beyond the objects in the memorandum and was thereby placed beyond the powers of the company to make the contract. If so, it is not a question whether the contract ever was ratified or was not ratified. If it was a contract void at its beginning, it was void because the company could not make the contract.

If every shareholder of the company had been in the room and every shareholder of the company had said that this contract which we desire to make, which we authorize the directors to make, to which we sanction the placing of the seal of the company, the case would not have stood in any different position from that in which it stands now. The shareholders would thereby by unanimous consent have been attempting to do the very thing which, by the Act of parliament they were prohibited from doing.

- ❖ The memorandum is thus a document which sets out the external constitution of the company and controls the relationship between the Co and 3rd parties.
- ❖ It is really the foundation on which the structure of the company is based.
- ❖ It contains the fundamental conditions upon which alone the company is allowed to be incorporated.

- ❖ *S 5(1)* provides that the Memorandum shall be in English language printed and shall contain the following:

1. Contents of Memorandum

- ❖ *Section 5* of the Act states the following six clauses of the memorandum of association:-

- a) Name clause
- b) Registered office clause
- c) Objects clause
- d) Liability clause
- e) Capital clause
- f) Association clause
- g) Extents of the Capital Clause See annexures of Table B
- h) Particulars of the Shareholders Names i.e (Names of the shareholders ,descriptions ,signatures)
- i) Subscription of the minimum shareholding structure
- j) Attestation of the informational dates
- k) Determination of the dates.

a. The Name clause

The promoters of a proposed company have freedom to choose its name.

i. Choice of Name

- ❖ The choice of name must have the name Ltd if limited by shares or guarantee as the last word unless **S2(1)** applies where it promotes science, Arts, religion, commerce and has no distribution of dividends and the profits go back into its source.
- ❖ The freedom is limited by **section 19(2)** of the Act which provides that "no name shall be reserved and no company shall be registered by a name which consists of abbreviations, initials or which, in the opinion of the registrar is "undesirable" e.g. *Malaya*.
- ❖ **S17** of the registration Act if it is too similar to that of an existing Co, government, presidential or municipal council and expressing patronage over any of the above.
 - a) A name that uses the word cooperative for its users
 - b) A name likely to mislead the nationality, the race or the religion of its members
 - c) A name that suggest criminal or immoral interest
 - d) A name that is business specific and yet the company is not involved in that business.
 - e) Must not contain the surname of any person who is not a manager.

ii. Reservation of Name

- ❖ The registrar has the power to reserve the name over a period of within 30 days provided it is not undesirable.
- ❖ Publication of the name must be in legible Roman Print on the physical address of the building, the common seal must have the legible roman letters engraved

iii. Change of name

- ❖ A co May change its name *sue moto* or involuntarily under S 20(1). This can be done either by Special resolution of the shareholders (75%) with printed approval of the registrar. Such a resolution is under S 143.
- ❖ If the name is too similar to S20 (2) (a)
- ❖ Or if the registrar by their mistake registers a Co that is too alike to that of another Co, that Co may by its own motion with the Sanctions of the registrar change its name. Such a change must be within 14 days.

i. Involuntary change

- ❖ Under s 20(2) if the name is too alike to that the registrar may within 6 months change the name of the Co if it is under 6 weeks it must be.....

- ❖ S 70(2)(a) The high court may on its discretion order..... ..the confirmation statement of the court may order the inclusion of..... ..by reduced shares as an investor protection mechanism

ii. Effect of change of name

- ❖ S20 (1) (4) It has no effect on the duties and the liabilities of the Co and legal liabilities can be within the time span.
- ❖ The registrar of companies has not issued any circular explaining the criteria likely to be used in deciding whether a proposed name is undesirable under the section.
- ❖ However, corresponding to English Companies Act 1948 to which Kenya's companies Act was formed, regards a proposed name as undesirable if;-
 - i. It is like the name of an existing company.
 - ii. It is misleading for example, if the name of a company likely to have small resources suggests that it is going to trade on a great scale over a wide field.
 - iii. It suggests some connection with the crown or members of the royal family, for example, Queens and Princes.
 - iv. It includes words which might be trademarks, unless a trade mark clearance has been obtained.

- v. Contains the name 'Bank' yet it does not afford itself the business of lending and keeping money.
- vi. Proposes to be called a statutory name.
- ❖ No company shall be registered by a name which is identical or which resembles the name of an existing company.
- ❖ Where a company is registered by a name so similar to that of another company that the public are likely to be deceived, the court will grant an injunction restraining it from using that name.

CASE LAW: *Ewing vs. Buttercup Margarine Co. Ltd*

- ❖ The plaintiff, who carried on business under the trade name of the Buttercup Dairy Company, was held entitled to restrain a newly registered company from carrying on business under the name of the Buttercup Margarine Company Ltd on the ground that the public might reasonably think that the registered company was connected with his business.
- ❖ However, if the company's business is different from that of the complaining party, confusion is not likely to arise and an injunction will not be granted.
- ❖ To avoid the risk of choosing a name that ultimately turns out to be desirable, the promoters should enquire from the registrar whether the name they intend

to give the company is "too like" that of a company already in the register of companies. After obtaining confirmation that the name is a registerable one they should immediately make written application for its reservation under section 19(1) of the Act.

- ❖ Any such reservation shall remain in force for a period of 30 days or such longer period, not exceeding 60 days the Registrar, for special reasons may allow.
- ❖ Every public company must write the word "limited" after its name and every private limited must write the word "private limited" after its name. Companies whose liabilities are not limited are prohibited from using the word "limited"

(b) The Registered office clause

- ❖ Section 5(1) (b) provides that the memorandum of association shall state that, "The registered office for the company is to be situated in Kenya"
- ❖ The registered office clause is important for two reasons:-
 - i. It ascertains the domicile and nationality of a company.
 - ii. It is the place where various registers relating to the company must be kept and to which all communications and notices must be sent. A company need

not carry on its business at its registered office S 107, the Co must have a registered office a postal address either 14 days after incorporation.

- ❖ The purpose for a physical address is; for the knowledge of where the books and registers e.g books of accounts and registers e.g books of account, minute book of meetings, registration of members, directors charges, debentures holders(direct or interim). It is the communication focal point for the safe keeping of documents.
- ❖ The primary function of the registered office is to act as the company's official address. It provides a convenient place where legal documents, notices, and other communications can be signed.
- ❖ The following registers and documents are kept at the company's registered office;-
 - i. The register of members.
 - ii. The register of directors and secretaries.
 - iii. The company's register of charges.
 - iv. The register of debenture holders.
 - v. The register of directors interests in shares.
 - vi. The minute books of general meeting.
- ❖ The above registers and documents are subject to inspection by the following:-

- a. The company's members can access and inspect them free of charge during business hours for at least two hours each day.
- b. Debenture holders of the company can inspect free of charge during business hours.
- c. Any member of the public can inspect on payment of prescribed fee not exceeding Sh. 2 for each inspection.

(c) The Object clause:

- ❖ Section 5(1) (c) requires the memorandum of association to state the objects of the company.
- ❖ The object clause defines the sphere of the company's activities, the aims that its formation seeks to achieve and the kind of activities.
- ❖ If anything is undertaken outside the objects stated in the memorandum then such shall be considered *ultra vires* and hence not binding the company.
- ❖ The objects clause is intended to serve the following purposes:-
 - a) To protect subscribers who learn from it the purpose to which their money can be applied
 - b) To protect persons who deal with the company and who can infer from it the extent of the company's powers.

- ❖ In choosing the company's objects, the following should be noted;
 - i. The objects should not be illegal or against the general law of the country, for example, gambling is prohibited and therefore the objects should exclude such.
 - ii. The object should not include anything in contravention of the Act.
 - iii. They should not include anything against public policy e.g. trading with alien enemies.
- ❖ The statement Lord Cairns in 1875 in Ashbury Railway Co. Ltd vs. Riche to the effect that :

A contract beyond the objects of the company in the memorandum of associations, is beyond the powers of the company give the impression that a company has no legal power to do anything which is not written in the memorandum. That would be a starting proposition because, in practice, companies have to do so many things in the course of their business that if all those things were to be written down in the memorandum, the memorandum would be such a gigantic document that nobody would read it. The judges will not regard transaction undertaken by a company as 'ultra vires' merely because it is not written in the company's memorandum of association as one of the company's objects.

- ❖ They would not in fact regard the transaction as *ultra vires* by implication if:-

- a) It was reasonably incidental to any of the objects which have been written in the company's memorandum.
- b) It was undertaken for the sole purpose of effectuating, or achieving the written objects.

D) Doctrine of Constructive Notice

- ❖ This rule regards that a person transacting business with a company is taken to be aware of the contents of the company's public documents such as memorandum, articles, annual return and special resolutions.
- ❖ Because the company's registry is a "public office" the documents kept therein are generally referred to as "public documents" since members of the public are free to inspect them on payment of a prescribed fee.
- ❖ A person transacting business with a company will be taken to have read the objects clause in the company's memorandum.
- ❖ Consequently if he concludes a contract with the company and it turns out that the contract was for a purpose which is neither expressly nor impliedly within the company's objects and hence *ultra vires*, he is regarded as having entered into an *ultra vires* contract knowingly even though he was not actually aware of its being *ultra vires*.

- ❖ He cannot successfully sue the company for breach of the contract.
- ❖ The legal justification for this rule is that since the company's public documents in its file at the company's Registry are available there for inspection by any interested member of the public he should have gone to the registry asked for the company's file, inspected the contents and having found the memorandum of association read the objects clause in order to ascertain whether the proposed contract is consistent with the company's objects.
- ❖ If he fails to do so, he will be regarded as having been aware that the contract was *ultra vires*. He cannot therefore be allowed to enforce it.
- ❖ The criticism that could be made against the constructive rule is its assumption that a potential contracting party who read a company's objects will be able to make the correct legal conclusion regarding the vires of the proposed transaction.
- ❖ The fact that a perusal of the company's object clause does not guarantee its correct interpretation is amply demonstrated when senior judges differ over the vires of a particular transaction.
- ❖ Why should an ordinary businessman be expected to decide the matter correctly? Reading the objects does not guarantee correct interpretation.

E) Remedies of the *ultra vires* lender

- ❖ No action or suit lies at law to recover money lent to a company which has borrowed for an *ultra vires* purpose.
- ❖ This means that the *ultra vires* lender cannot sue, as lender, to recover the money he lent to the company. However, he might avail himself of one or any of the following remedies:-
 - (a) If the result of the transaction is that the indebtedness of the company is not increased because the new loan was applied in discharging an old debt, the invalid lender can be treated as standing in place of those whose debts have been paid off. In Sinclair vs. Brougham, it was stated that the *ultra vires* lender would be entitled to rank as creditor only to the extent to which his money was applied in discharging the *intra vires* debt.
 - (b) If the lender can identify his money or the investment of his money in the hands of the borrowing company, he can call for its return.
 - (c) If the lender cannot bring himself within any of the above propositions he would have no remedy except to participate in the division of the company's surplus assets if any which would be divisible among *ultra vires* creditors during company's liquidation after all members have received back their

capital in full. The tracing is only available in equity and aims at common Law.

- ❖ Conversion of *Ultra vires* to *inter vires* is impossible, in [**Rolled Steel Case**], the High court stated that it is important, it cannot be legitimized by ratification.

F) Remedies other than Tracing

- (i) If a shareholder can do a derivative action to right a wrong performed by the Co
 - (ii) Personal Action against the directors. If the directors Act *ultra vires* they represent the Co as *inter vires*. In such a case they will be liable to the 3rd parties.
 - (iii) Subrogation- If x cannot borrow but borrows y bank cannot recover. But Co uses the money to pay M. In equity x is *ultra vires* but with M is *inter vires*, the Bank can step in the shoes of the Co, its justification shall be present in equity.
- ❖ There are two types of *Ultra vires*:
 - i. Narrow *Ultra vires* which is the common Law doctrine of *ultra vires* covered in s 5(1)(c). It covers the role of capacity

- ❖ This is *ultra vires* beyond the powers of the Co as covered in [Rolled steel products limited] as well as the Rule in *Ashby's Rly*.
- ❖ To ascertain its use, we look at the construction of the objects, whether the act done is expressly mentioned and not necessarily incidental to the Co's business.

ii. Wider *ultra vires*

- ❖ Abuse of the power by directors where they have acted in excess of their powers.
- ❖ The transaction as in the narrower sense is voidable at the option of the Co and the directors are liable for the abuse in authority.
- ❖ It is capable of being ratified by the Co at the general meeting [*Bamford v Bamford*] *Re David Payne Co* A transaction is unenforceable of the abuse of power since the other person is in abuse of power.

III: GRATUITOUS PAYMENT

- ❖ These are charitable deeds, gifts and donations.
- ❖ At common Law deeds were considered invincible unless they are made for the benefit of the Co.
- ❖ In *Re Lee B Eve J* three pertinent questions were identified as the test for validity of gratuitous test, they must all be fulfilled;
 - a) Is the transaction reasonably incidental to the carrying out of business?
 - b) Is it a bonfide transaction?
 - c) Is it a benefit and prospective of the Co (All the elements must be fulfilled).
- ❖ The court is misinformed due to the perception for the purpose of profit.
- ❖ In *Evans v Bros*: Scientific grants were used to get future employees.
- ❖ *Re Halt (garage Ltd)/ Re Hastrey & Weight* the business of the Co's objects need not be commercial but charitable & philanthropic but whatever the organizers wish provided they are legal.

- ❖ Kenyan Law position stands on the *Hutton case* through it does not apply since the circumstance of the jurisdiction act cannot permit under S31(c) of the judicature Act. This applies to inform corporate social responsibility, which determines that 2% of profit must go into charity.
- ❖ The paragraph is intended to protect investors to ascertain the purpose to which their money is taking so that they can appreciate the risk.
- ❖ The transactions of business with the Co and the power to transact with the Co, the narrower the objects, the lessor the possibility the subscribers are exposed to risk, the wider the objects the wider the risks.
- ❖ *Ultra vires* is a rule of capacity as shown by S5(1)(c) of the Act.
- ❖ The origins of the doctrine of *Ultra vires* are found in are in *Ashbury Rly Co v Ridge* where L. Cairns stated that the decision was too rigid to construct.
- ❖ In *A.G v Great Eastern Rly Co*, Lord Seldon stated that what is reasonable and consequential to *inter vires* is incidental to the attainment or pursuit of the objects.
- ❖ The legislature passed the Memorandum of Association Act of 1890(S 8) to amend and alter the memorandum of a Co.
- ❖ To go around the rule the following methods are used to circumvent the rule;

- i. Amalgamation with any other Co or body of a person.
- ii. To carry on business which may under the existing objects fall conveniently proximate to the business of the Co.
- iii. Inflating the objects clause by listing down any conceivable object
- iv. Incorporating the powers of the objects of the objects (Cotman v Brogham)
- v. Including an independent objects clause" Each of the forging paragraphs is an independent object capable of being pursued" (Cotman v Brogham)
- vi. Use of subjective or objective clause to carry on any other objective which in the opinion on the director is advantageous (Bell Houses v Gladwell)/
Rule in Turk wards Case

N/B Under S219, the shareholder can go to court where the substance of the Objects changes.

(d)The Liability Clause

- ❖ This clause states that the liability of the members of the company is limited.
- ❖ Section 5(2) provides that memorandum of a company limited by shares or guarantee shall state that the liability of members is limited.
- ❖ Companies may either be:-

- i. Limited by shares
- ii. Limited by guarantee
- iii. Unlimited

i. Companies limited by shares

Section 4(2) (a) defines such a company as a company having the liability of its members limited by memorandum to the amount, if any, unpaid on the shares held by them.

ii. Companies limited by guarantee

Section 4(2)(b) defines such a company as a company having the liability of its members limited by the memorandum to such an amount as the members may undertake to contribute to the assets of the company in the event of its being wound up.

The members can only be called upon to pay the amount guaranteed if the company is in liquidation.

iii. Unlimited Companies

Section 4(2) (c) defines it as a company not having any limit on the liability of its members. Although the company is a separate legal entity, the members' liability resembles that of partners.

(e) The Capital Clause

Section 5(4) (a) provides that a company having a share capital, the memorandum shall state "the amount of share capital with which the company proposes to be registered and the division thereof into shares of a fixed amount".

(f) The Association Clause

This clause though not provided in Section 5 of the Act, provides that those who have agreed to subscribe to the memorandum must signify their willingness to associate and form a company. Seven persons are required to sign the memorandum in case of public company whereas two for private companies.

LECTURE IX: THURSDAY & SATURDAY (VIRTUAL)

TOPIC IX: THE ULTRA VIRES DOCTRINE

- ❖ The courts have introduced 2 methods of curbing the evasion of the *ultra vires* doctrine:

1. The Ejusdem Generis Rule:

- ❖ The *ejusdem generis* rule is also referred to as the main objects rule of construction. Here a Memorandum of Association expresses the objects of a company in a series of paragraphs and one paragraph or the first 2 or 3 paragraphs appear to embody the main object of the company all the other paragraphs are treated as merely ancillary to this main object and as limited or controlled thereby.
- ❖ Business persons evaded this method by use of the independent objects clause. The objects clause will contain a paragraph to the effect that each of the preceding sub-paragraphs shall be construed independently and shall not in any way be limited by reference to any other sub-clause and that the objects set out in each sub-clause shall be independent objects of the company.

CASE LAW: Cotman V. Brougham [1918] A.C. 514

In this case the objects clause of the company contained 30 sub-clauses. The first sub-clause authorized the company to develop rubber plantations and the fourth clause empowered the company to deal in any shares of any company. The objects clause concluded with a declaration that each of the sub clauses was to be construed independently as independent objects of the company. The company underwrote and had allotted to it shares in an oil company. The question that arose was whether this was intra vires the company's objects.

The court held that the effect of the independent objects clause was to constitute each of the 30 objects of the company as independent objects. Therefore the dealing of shares in an oil company was within the objects and thus intra vires. However the power to borrow money cannot be construed as an independent object of the company in spite of this decision.

CASE LAW: Re Introductions (1962) W.L.R. 791

In this case the company was formed to provide accommodation and services to those overseas visitors going to a festival in Britain. The company did this during the first few years of existence. Later the company switched over to pig breeding as its sole business. While so engaged it borrowed money from a bank on a security of

debentures. The bank was given a copy of the company's Memorandum of Association and at the material time knew that the company's sole business was that of pig breeding. The issue was, whether the loan and debentures were valid in view of the fact one of the sub clauses empowered the company to borrow money and the last sub clause was an independent object clause.

The court held that borrowing was a power and not an object. The power to borrow existed only for furthering intra vires objects of the company and was not an object in itself.

Therefore;

- (1) The exercise of powers which will be *intra vires* is exercised for the objects of the company and is *ultra vires* only if used for the objects not covered by the company's Memorandum of Association.
- (2) Even an independent object clause cannot convert what powers are in fact into objects.

2. The Loss of Substratum:

- ❖ Where the main object of a company has failed, a petitioner will be granted an order for the winding up of a company. Such a petitioner must however be a member or shareholder in the company.

- ❖ The object of the *ultra vires* rule is to make the members know how and to what their money is being applied. This is the rationale of members' protection.

CASE LAW: Re German Date Coffee Co (1882) 20 Ch. 169

In this case the major object of the company was to acquire a German Patent for manufacturing coffee from dates. The German patent was never granted but the company acquired a Swedish Patent for the same purpose. The company was solvent and the majority of the members wished to continue in business. However, two of the shareholder petitioned for winding up of the company on the grounds that the company's object had entirely failed.

The court held that upon the failure to acquire the German patent, it was impossible to carry out the objects for which the company was formed. Therefore the substratum had disappeared and therefore it was just inevitable that the company should be wound up.

- ❖ *Kay J. stated “where a company is formed for a primary purpose, then although the Memorandum may contain other general words which include the doing of other objects, those general words must be read as being ancillary to that which the Memorandum shows to be the main purpose and if the main*

purpose fails and fails altogether, then the sub-stratum of the association fails.”

- ❖ This substratum rule is too narrow and cannot sufficiently uphold the *ultra vires* rule. Questions are, are members or shareholders really protected? Do they know what the objects are? The Directors may choose any among the many.
- ❖ Secondly a member has to petition first and the court has to decide

CASE LAW: John Beauforte (1953) Ch.d 131

A company was authorized by its Memorandum of Association to carry on the business of costumers, gown makers and other activities ejusdem generis. The company decided to undertake the business of making veneered panels which was admittedly ultra vires and for this purpose, it constructed a factory at Bristol. The company later went into compulsory liquidation. Several proofs of debts were lodged with the liquidator which he rejected on the ground that the contracts which they related to were ultra vires.

Applications by way of Appeal were lodged by the 3 creditors one of whom had actual knowledge that the veneer business was ultra vires. The 3 creditors were a

firm of builders who built the factory, a firm which supplied the veneers to the company and a firm which had contractual debts with the company.

The courts held dismissing the applications that no judgment founded on an ultra vires contract could be sustained unless it embodied a decision of the court on the issue of ultra vires or a compromise on that issue. The contracts being founded on an ultra vires transaction were void.

A. GRATUITOUS GIFTS

- ❖ Can a company validly make a gift out of corporate property or asset? The law is that a company has no power to make such payments unless the particular payment is reasonably incidental to the carrying out of a company's business and is meant for the benefit and to promote the property of the company.

- ❖ **CASE LAW: Hutton V Westcorp Railway Co. (1893) Ch.d**

A company sold its assets and continued in business only for the purpose of winding up. While it was awaiting winding up, a resolution was passed in the company's general meeting authorizing the payments of a gratuity to the directors and dismissed employees.

The court held that as the company was no longer a going concern such a payment could not be reasonably incidental to the business of the company and therefore the resolution was invalid.

- ❖ In the words of the Lord Justice Bowen said, “The law does not say that there are not to be cakes and ale but there are to be no cakes and ale except such as are required for the benefit of the company.”
- ❖ The question is, suppose there is a clause in the Memorandum of Association that such payments shall be made, is payment *ultra vires*? The authority that dealt with this position was the case of;

CASE LAW: *Re Lee Behrens & Co [1932] 2 Ch. D 46*

The object clause of the company contained an express power to provide for the welfare employees and ex-employees and also their widows, children and other dependents by the grant of money as well as pensions. Three years before the company was wound up, the Board of Directors decided that the company should undertake to pay a pension to the widow of a former managing director but after the winding up the liquidator rejected her claim to the pension.

The court held that the transaction whereby the company covenanted to pay the widow a pension was not for the benefit of the company or reasonably incidental to its business and was therefore ultra vires and hence null and void.

❖ Justice Eve stated as follows, “Whether they reneged an express or implied power, all such grants involved an expenditure of the company's money and that money can only be spent for purposes reasonably incidental to the carrying on of the company's business and the validity of such grants can be tested by the answers to three questions:

- (i) Is the transaction reasonably incidental to the carrying on of the company's business?
- (ii) Is it a bona fide transaction?
- (iii) Is it done for the benefit and to promote the prosperity of the company?

These questions must be answered in the affirmative. The question may be posed as to whether these tests apply where there is an express power by the objects. This is one area where the courts are still insistent that creditors' security must be reserved.”

❖ Sometimes *ultra vires* can be excluded by good and clever draftsmanship

CASE LAW: *Parker v. Daily News* [1962] 2 Ch.d 927

In this case the company transferred the major portion of its assets and proposed to distribute the purchase price to those employees who are going to become redundant after reduction in the stock of the company's business. The company was not legally bound to make any payments by way of compensation. One shareholder claimed that the proposed payment was ultra vires.

The court held that the proposed payment was motivated by a desire to treat the ex- employees generously and was not taken in the interest of the company as it was going to remain and that therefore it was ultra vires.

- ❖ The Court observed as follows “the defendants were prompted by motives which however laudable and however enlightened from the point of view of industrial relations were such as the law does not recognize as sufficient justification. The essence of the matter was that the Directors were proposing that a very large part of its assets should be given to its employees in order to benefit those employees rather than the company and that is an application of the company's funds which the law will not allow.”

CASE LAW: Evans v. Brunner Mound & Co. 1921 Ch.d 359

The company carried on the business of chemical manufacturers. Its object clause contained a power to do all such things as maybe incidental or conducive to the

attainment of its objects. The company distributed some money to some universities and scientific institutions, which was meant to encourage scientific education and research. The company thereby hoped to create a reservoir of qualified scientists from which the company could recruit its staff.

The court held that even though the payment was not under an express power, it was reasonably incidental to the company's business and therefore valid. This is one of the few cases where payment was recognized as being valid.

B. THE RIGHTS OF THE COMPANY & 3RD PARTIES UNDER *ULTRA VIRES* TRANSACTIONS

- ❖ These are remedies whether or not a contract is *ultra vires* depends on the knowledge of the party's dealing with that company. Such is the case as regards borrowing contracts.

CASE LAW: *David Payne & Co. (1904) 2 Ch.d 608*

X was a director of company B and at the same time had some interests in company A. He learnt that company B wished to borrow some money which it intended to apply to unauthorized activities. He urged company A to lend the money on the security of debentures. The issues were:

- (a) Whether the debentures were valid security;*

(b) Whether the knowledge of X as to the intended application of the money could be imputed to the company.

The court held that X was not company A's agent for obtaining such information and therefore his knowledge was not the company's knowledge and consequently the debentures were valid security.

- ❖ This loophole however will be applied very rarely because everybody is presumed to know the contents of a company's public documents. Where a contract with that company is *ultra vires*, generally speaking the party dealing with that company has no rights under the contract. The transaction being null and void cannot confer rights on the 3rd party nor can it impose any obligation on the company.
- ❖ In many instances however, property will be transferred under an *ultra vires* transaction. Such transaction cannot vest rights in the transferee and cannot divest the transferor of his rights.
- 1. At common law therefore, the first remedy of a person who parts with property under an *ultra vires* transaction is that he has a right to trace and recover that property from the company as long as he can identify it.
- ❖ This principle also applies to money lent to the company on an *ultra vires* borrowing so long as the money can be traced either in law or in equity. The

basis of this principle is that the company is deemed to hold the money or the property as a trustee for the person from whom it was obtained.

- ❖ Therefore, if the money received is paid into a separate account, or is sufficiently earmarked e.g by the purchase of some particular items, it can be followed and claimed by the lender. Where tracing is impossible, because the money has become mixed with other money, the lender is entitled in equity to a charge on the mixed fund together with the other creditors according to the respective amounts otherwise money obtained on *ultra vires* transaction generally cannot be followed once it has been spent. But if such money has been spent by discharging the company's *intra vires* debts then the lender is entitled rank as a creditor to the extent to which the money has been so applied. Since the company's liabilities are not increased but in fact decreased, equity treats the borrowing valid to the extent of the legal application of such money.
2. The 3rd party has a personal right against the directors or other agents with whom he has dealt. The rationale is that such directors or other agents are treated as quasi trustees from which it follows that a 3rd party is entitled to a claim against them for restitution.

C. TO WHAT EXTENT ARE MEMBERS PROTECTED BY THE *ULTRA VIRES* DOCTRINE

- ❖ The *intra vires* creditor does not have the *locus standi* to prohibit *ultra vires* actions. Again there is the presumption of knowledge of a company's documents and activities.
- ❖ In spite of the fact that the doctrine of *ultra vires* is overdue for reform, it has not undergone any reform in Kenya unlike in the United Kingdom where it has been severely eroded.
- ❖ All the company can do is to alter its objects under the power conferred by **Section 8 of the Companies Act Cap 486**. The effect of the Section is that a company may by special resolution alter the provisions in its Memorandum with respect to the object of the company.
- ❖ ***Section 141*** defines Special Resolution as a resolution which is passed by a majority of not less than three quarters of those members voting a company's general meeting either in person or by proxy and of which notice has been given of the intention to propose it as a special resolution.
- ❖ Within 30 days of the date on which the resolution altering the objects is passed, an application for the cancellation of the Resolution may be made to

Court by or on behalf of the holders who have not voted in favour of the Resolution, of not less than 15% of the nominal value of the issued share capital of any class and if the company does not have a share capital, the application can be made by at least 15% of the members of the company.

- ❖ If such an application is made, the alteration will not be effective except to the extent that it is confirmed by a court. Normally a court has an absolute discretion to confer, reject or modify the alteration.

CASE LAW: Re Private Boarding House Limited (1967) E.A. 143

- ❖ *In this case, it was held that the registrar of companies is entitled to receive a notice of any such application and to appear and be heard at the hearing of the Application on the ground that such matters affect his record.*
- ❖ Under **Section 8 (9) of the Companies Act Cap 486** if no application is made to the court, within 30 days the alteration cannot subsequently be challenged. The effect of this provision is that as long as an alteration is supported by more than 85% of the shareholders or so long as no one applies to the court within 30 days of the resolution, companies have complete freedom to alter their objects.
- ❖ Note however, that such alterations do not operate retrospectively. Their effect relates only to the future.

D. THE DOCTRINE OF IN-DOOR MANAGEMENT

- ❖ The doctrine of indoor management is an exception to the rule of constructive notice.
- ❖ According to the rule of constructive notice, a person dealing with the company is deemed to have knowledge of the memorandum and the articles of the company.
- ❖ If he enters into a transaction with the company which is *ultra vires*, he cannot treat the transaction as binding on the company.
- ❖ The doctrine of indoor management on the other hand argues that outsiders dealing with the company are entitled to assume that everything had been regularly done so far as its internal proceedings are concerned.
- ❖ The doctrine had its origin in a famous case, “***Royal British Bank vs. Turquand.***”

CASE LAW: *Royal British Bank vs. Turquand (1856)*

The directors of the Bank issued a bond to Mr. Turquand. The articles provided that the directors had the power to issue bond if authorized by proper resolution of the company. No such resolution was passed. It was held that Turquand could sue on the bond as he was entitled to assume that the resolution must have been passed.

It was observed that persons dealing with the company are bound to read the registered documents and to see that the proposed dealings are not inconsistent therewith, but are not bound to do more. They need not inquire into the irregularity of internal proceedings.

❖ The doctrine is however, subject to the following exceptions:-

(a) **Knowledge of irregularity:** - A person who deals with the company and who has knowledge of the irregularity in its internal management in connection with the subject matter of his dealings cannot claim the benefit of the rule in Turquand's case.

(b) **Negligence:** - A person cannot claim the benefit of the rule in Turquand in circumstances under which he would have discovered the irregularity if he had made proper inquiries. Further, where circumstances surrounding the transaction are suspicious, and therefore invite inquiry, the outsider cannot claim the benefit of this rule.

(c) **Forgery:** The rule in Turquand's case will not apply where a document on which the person seeks to rely on is a forgery

CASE LAW: Ruben vs. Great Fungall Consolidated Co. (1906)

Ruben lent a company a sum of money on the security of a share certificate. The secretary had forged the signatures of the two directors and had affixed the seal on

the certificate without authority. The company refused to register the share certificate. Ruben claimed damages relying on the Turquand's rule.

It was held that he could not do so because the rule did not apply where the document was forged.

(d) Acts outside the apparent authority: - The rule in Turquand does not apply where a person acting on behalf of the company exceeds any actual or ostensible authority given to him. A person who enters into a transaction with a company official who has acted beyond official powers will not be protected by the rule in Turquand case.

CASE LAW: Anand Lal vs. Dinshaw & Co. (1942)

P accepted a transfer of company's property from its accountant. Since such transaction is apparently beyond the scope of the accountant's authority it was void.

(e) No knowledge of the contents of the Articles and Memorandum of Association: -

- ❖ A person who has not actually read the memorandum and articles and who was not at the time he entered into the contract, aware of their content cannot seek to rely on the doctrine of indoor management.

- ❖ The doctrine of indoor management is based on the principle of *estoppels* and therefore cannot be invoked in favor of a person who has not consulted the company's memorandum and articles. No one can rely and act upon something of which he was in fact completely ignorant.

LECTURE X : THURSDAY & SATURDAY (VIRTUAL)

TOPIC X: ALTERATION OF THE STATUS OF COMPANIES

A. ALTERATION OF THE MEMORANDUM

- ❖ The memorandum of association of a company being its charter, the right of the company to alter its contents is rigidly limited by the provisions of the Act.
- ❖ *Section 7 of the Act* provides that a company shall not alter the conditions contained in its memorandum except in cases, in the mode and to the extent for which express provisions is made in this Act.

(1) Change of Name:

- ❖ A company's name may be changed voluntarily or compulsorily.

(a) Voluntary change of name:

- ❖ A company's name may be changed voluntarily if:-
 - (i) A Special resolution is passed by the company for that purpose after obtaining a written approval of the registrar (*Section 20(1)*).
 - (ii) The company was inadvertently registered by a name which, in the opinion of the registrar, is too like the name by which a company in existence is

previously registered. Although the section does not make it mandatory for the company to change its name it is advisable for the company to take immediate steps to effect the change as soon as it becomes aware of the situation. Any delay entails the risk of passing-off action being instituted against it.

- (iii) The minister, by license, authorizes a company to make a change in its name.

(b) Compulsory Change:

- ❖ *Section 20 (2) of the Act* provides that within 6 months of registration with a particular name the registrar may direct a change in name if in his opinion the name is "**too like**" that of preexisting company.
- ❖ A change of name under this section may be made by ordinary resolution.
- ❖ Failure to comply with the registrar's directive is an offence punishable by a fine not exceeding Sh. 100 for every day during which the default continues.
- ❖ After a company changes its name, it shall give to the registrar notice thereof within fourteen days. Upon receipt of the notice, the registrar shall:-
 - (i) Enter the name on the register in place of the former.
 - (ii) Issue to the company a certificate of change of name.
 - (iii) Publish the change of name in the Kenya Gazette.

(2) Change of Registered Office

- ❖ A company may change the address of its registered office on giving proper notice to the registrar.
- ❖ The new address takes effect on the entry of the address on the register but the company has 14 days after giving due notice in which to use the new address and to transfer the registers etc, required to be kept there before it commits any offenses for using the wrong address.
- ❖ The registrar must publish in the Gazette notice of the receipt by him of notice of change in the company's registered office.

(3) Change of the Object Clause:

- ❖ *Section 8 of the Act* provides that a company may, by special resolution, alter the provisions of its memorandum with respect to its objects if the alteration would enable the company:-
 - a) To carry on its business more economically or more effectively.
 - b) To attain its main purpose by new or improved means.
 - c) To enlarge or change the local area of its operations.

- d) To carry on some business which under existing circumstances may conveniently or advantageously be combined with the business of the company.
- e) To restrict or abandon any of the objects specified in the memorandum.
- f) To sell or dispose of the undertaking of the company.
- g) To amalgamate with any other company or body of persons.
- ❖ In order to effect the proposed alterations the company's directors would have to convene an extraordinary general meeting of the company in order to consider and if approved, pass a resolution that the company's objects be altered as proposed.
- ❖ The resolution would be effective immediately it is passed if it was voted for by the holders of at least 86% in nominal value of the company's issued share capital or any class thereof.
- ❖ When the objects are altered, a printed copy of the special resolution must be delivered to the registrar within 14 days.

(4) Change of Capital Clause:

- ❖ *Section 63 (1)* provides that a company limited by shares or a company limited by guarantee and having a share capital, if so authorized by its articles, may alter the conditions of its memorandum as follows:-

- (a) It may increase its share capital by new shares of such amount as it thinks expedient.
 - (b) It may consolidate and divide its capital into shares of larger amount than the existing shares.
 - (c) It may convert all or any of its paid up shares into stock and reconvert stock into paid up shares.
 - (d) It may subdivide its shares into shares of smaller amount.
 - (e) It may cancel shares, which at the date of passing of the resolution have not been taken or agreed to be taken by any person and diminish the amount of its share capital by the amount of shares so canceled.
- ❖ *Section 63 (2)* provides that this shall be exercised by the company in a general meeting.
 - ❖ *Section 13* of the Companies Act gives the company power to alter the articles by special resolution either by adding or reducing the Co's terms under *S143* of the Co Act the resolution must be registered. **See further the provisions of S102.**
 - ❖ This is a statutory power and a company cannot deprive itself of its exercise.

CASELAW: Andrews v. Gas Meter Co. (1897) 1 Ch. 361

The issue herein was whether a company which under its Memorandum and Articles had no power to issue preference shares could alter its articles so as to authorize the issue of preference shares by way of increased capital.

The court held that as long as the Constitution of a Company depends on the articles, it is clearly alterable by special resolution under the powers conferred by the Act. Therefore it was proper for the company to alter those articles and issue preference shares. Any regulation or article which purports to deprive the company of this power is therefore invalid, on the ground that such an article or regulation will be contrary to the statute. The only limitation on a company's power to alter articles is that the alteration must be made in good faith and for the benefit of the company as a whole.

❖ **In *Walker v London Tramways Ltd*** where the question of whether all the Co's articles were alterable arose, it was held that; the powers to alter the Articles is subject to restriction either in Statutory restrictions or Judicial restrictions.

(5) Statute:

For alteration to occur;

- (a) The general meeting must alter the articles with at least 75% of the members in favor of the alteration this may be done either in person or in proxy.
- (b) It must not increase the liability of members or more shares, *S13*.
- (c) Must not be inconsistent with the Co Act.
- (d) Must not exceed the conditions of the memorandum.
- (e) Must not amend the provisions of *S30* if the Co is to remain private.
- (f) The holders of the class of rights to be affected require a separate meeting where in writing 75% will support the verification. Any alteration must not deny dissenting shareholders their right by a variation of class rights to apply to the court for the variation to be reversed.
- (g) Alteration must not be contrary to a court order *S211* for purposes of the protection of the minority against oppression. *S211* provides for the winding up for the protection of the minority.

(6) Judicial Restrictions:

- ❖ The alteration may be *bonafide* and in the interest of the Co as a whole.
- ❖ It must cater for the future but must not be too wild or extravagant.

CASE LAW: Sidebottom v. Kershaw Leese & Co [1920]1 Ch. 154

Director controlled share company had a minority shareholder who was interested in some competing business. The company passed a special resolution empowering the directors to require any shareholder who competed with the company to transfer his shares at their fair value to nominees of the directors. The Plaintiff was duly served with such a notice to transfer his shares. He thereupon filed an action against the company challenging the validity of that article.

The court held that the company had a power to re-introduce into its articles anything that could have been validly included in the original articles provided the alteration was made in good faith and for the benefit of the company as a whole and since the members considered it beneficial to the company to get rid of competitors, the alteration was valid.- The provision was in good faith to beat competition.

CASE LAW: Contrast this case with that of: Brown v. British Abrasive Wheel Co (1990) 1 Ch. 290

Here a public company was in urgent need of further capital which the majority of the members who held 98% of the shares were willing to supply if they could buy

out the minority. They tried persuasion of the minority to sell shares to them but the minority refused. They therefore proposed to pass a Special Resolution adding to the Articles a clause whereby any shareholder was bound to transfer his shares upon a request in writing of the holders of 98% of the issued capital.

The court held that this was an attempt to add a clause which will enable the majority to expropriate the shares of the minority who had bought them when there was no such power. Such an attempt was not for the benefit of the company as a whole but for the majority. An injunction was therefore granted to restrain the company from passing the proposed resolution.

B. CAN A CO BE RESTRAINED FROM ALTERING THE ARTICLES?

- ❖ Yes and No, Yes because In ***Pant v Symar*** and Co, it was held that the CO cannot be restrained because such power is provided for in statute.
- ❖ However, L. Porter in ***Southern Founders Ltd v Shirlaw*** stated that the General rule is that, the Co cannot be precluded for altering the Articles, however, it will be in breach of contract if the court intervenes or where monetary award is not appropriate in the circumstances.
- ❖ Yes, because in ***Peter G Ellis v Bailey*** it was held that provided the alteration was done in good faith a director cannot go to court to against the alteration.

The contract covers the relevant articles as they are amended if it was based on alterable articles.

CASE LAW: Allen v. Gold Reefs of West Africa (1900) 1 Ch. 626

In this case the company had a lien on all debts by members who had not truly paid up for their shares. The Articles were altered to extend the Company's lien to those shares which were fully paid up.

The court held that since the power to alter the Articles is statutory, the extension of the lien to fully paid up shares was valid.

- ❖ These were the words of Lindley L.J. “Wide however as the language of *Section 13* mainly the power conferred by it must be exercised subject to the general principles of law and equity which are applicable to all powers conferred on majorities and enabling them to bind minorities. It must be exercised not only in the manner required by law but also *bona fide* for the benefit of the company as a whole.”

CASE LAW: Shuttleworth v. Cox Brothers Ltd (1927) 2 KB 29

Here the Articles of the Company provided that the Plaintiff and 4 others should be the first directors of the company. Further each one of them should hold office for life unless he should be disqualified on any one of some six specified grounds;

bankruptcy, insanity etc. The Plaintiff failed to account to the company for certain money he had received on its behalf. Under a general meeting of the company a special resolution was passed that the articles be altered by adding a seventh ground for disqualification of a director which was a request in writing by his co-directors that he should resign. Such request was duly given to the Plaintiff and there was no evidence of bad faith on the part of shareholders in altering the articles.

The Plaintiff sued the company for breach of an alleged contract contained in their original articles that he should be a permanent director and for a declaration that he was still a director.

The court held that the contract if any between the Plaintiff and the company contained in the original articles in their original form was subject to the statutory power of alteration and if the alteration was bona fide for the benefit of the company, it was valid and there was no breach of contract.

- ❖ Lord Justice Bankes observed as follows: “In this case, the contract derives its force and effect from the Articles themselves which may be altered. It is not an absolute contract but only a conditional contract.”
- ❖ The question here is who determines what is for the benefit of the company? Is it the shareholders or the Courts?

- ❖ Scrutton L.J. had the following to say: “To adopt such a view that a court should decide will be to make the court the manager of the affairs of innumerable companies instead of shareholders themselves. It is not the business of the court to manage the affairs of the company. That is for the shareholders and the directors.”

C. EFFECT OF ALTERATION ON CONTRACT OF DIRECTORS

- ❖ Sometimes the Articles may be altered in such a way that the implementation of those articles in the altered form would give rise to breach of an existing contract between the company and a third party and particularly so as regards contracts between companies and their directors.
- ❖ A director may hold office either:

1. Under the Articles without a service contract.

CASE LAW: Southern Foundries v. Shirlaw (1940) A.C. 701

The Plaintiff by a written contract was appointed the company's Managing Director for 10 years. The agreement was not expressed to be subject to the Articles in any way. The Articles provided various grounds for the removal of a director from office subject to the terms of any subsisting agreement. The Articles further provided that if the Managing Director ceased to be a director, he would

ipso facto cease to be Managing Director. The Company's Articles were subsequently changed to give the Directors power to remove a fellow director from office by notice. Such notice was given to the Plaintiff who thereupon filed an action claiming damages from the company for breach of contract.

It was held that since his appointment was not subject to the articles, he could only be removed from office in accordance with the terms of his appointment and not by way of alteration of the articles. Damages were therefore payable.

- ❖ Lord Atkins said: “If a party enters into an arrangement which can only take effect by the continuance of an existing state of circumstances there is an implied undertaking on his part that he shall be done of his own motion to put an end to that state of circumstances which alone the arrangement can be operative.”

2. Under a contract of service which is entirely independent of the articles.

CASE LAW: Peter Waiganjo v Unga Ltd; Read v. Astoria Garage (1952) 1 All.E.R 922

A Company's Articles provided that the appointment of a Managing Director shall be subject to termination if he ceases for any reason to be a director or if the company in general meeting resolved that his tenure of office as managing director

be terminated. The Plaintiff was appointed as the company's Managing Director 17 years later the directors decided to relieve him of his duties as Managing Director. The decision was subsequently ratified by the company in general meeting. He claimed damages for wrongful dismissal.

The court held that on a true construction of the company's articles the Plaintiff's appointment was immediately and automatically terminated on passing of the Resolution at the general meeting since the company had expressly reserved to itself the power to dismiss the Managing Director.

- ❖ The question is, can a company be restrained by injunction from altering its articles if the alteration is likely to give rise to a breach of contract? Part of the answer to this question was given in the case of:

CASE LAW: British Murac Syndicate Ltd v. Alperton Rubber Co. Ltd. 1950 2

Ch. 186

By an agreement binding on the Defendant Company it was provided that so long as the operative syndicate should hold over 5000 shares in the Defendant's company, the Plaintiff's syndicate should have the right of nominating two directors on the Board of the Defendant Company. A clause to the same effect was contained in Article 88 of the Defendant Company's Articles of Association.

Another Article provided that the number of directors should not be less than 3 nor more than 7. The Plaintiff syndicate had recently nominated 2 persons as directors. The Defendant Company objected to these two persons as directors and refused to accept the nomination and a meeting of shareholders was called for the purpose of passing a special resolution under Section 13 of the Companies Act canceling the article.

The court held that the defendant company had no power to alter its articles of association for the purpose of committing a breach of contract and that an injunction ought to be granted to restrain the holding of the meeting for that purpose.

3. Under a service contract which expressly or by implication embodies the relevant provisions in the Articles.

- ❖ Where a director holds office under the Articles without a contract of service, then his appointment is conditional on the footing that the articles may be altered at any time in exercise of statutory power.
- ❖ If however, a director's appointment is entirely independent of the articles then any alterations which affects his contract with the company will constitute a breach of contract for which the company will be liable in damages.

- ❖ If a director is appointed in very general terms and without limitation of time, then the provisions in the Articles are deemed to be incorporated in the appointment and in the absence of any provision in the articles to the contrary, the company may dismiss him at any time and even without notice.

CASE LAW: *Punt v. Symens & Co. (1903) 2 Ch. 506*

- ❖ This case had words to the effect that the company cannot be restrained but this was overruled in the case of.

CASE LAW: *British Equitable Assurance Co. v. Baily (1906) S.C. 35; Allen v. Goldreef*

- ❖ In this case an article was altered in such a way as to prejudice one shareholder.
- ❖ The article gave a lien on partly-paid shares for debts of members.
- ❖ Zuccani owed money in respect of unpaid calls on partly-paid shares but was the only holder of fully paid shares as well.
- ❖ The court held that it was for the benefit of the company to recover moneys due to it and the alteration in its terms related to all holders of fully-paid shares.
- ❖ The fact that Zuccani was the only member of that class at that moment did not invalidate it.